

AN ANALYTICAL STUDY ON FDI AND FPI IN INDIA

A Project Submitted to

University of Mumbai for the partial completion of degree of

Bachelor of Commerce (Accounting and Finance)

Under the Faculty of Commerce



BY

ABHISHEK AYYANGAR

UNDER THE GUIDANCE OF

DR. PRIYANKA MOHAN

**S.I.E.S. (NERUL) COLLEGE OF ARTS, SCIENCE & COMMERCE,
SRI CHANDRASEKHARENDRA SARASWATI VIDYAPURAM,
PLOT- I-C, SECTOR-V, NERUL, NAVI MUMBAI- 400706**

APRIL 2024

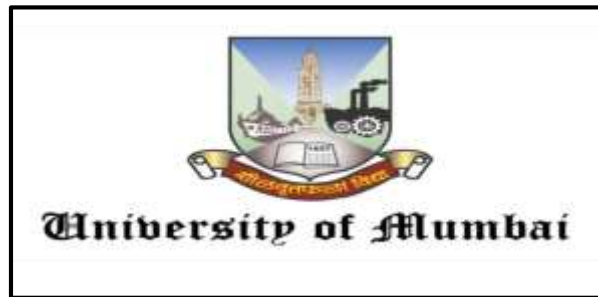
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CERTIFICATE

This is to certify that Mr Abhishek Ayyangar has worked and duly completed her/his Project Work for the degree of Bachelor in Commerce (Accounting & Finance) under the Faculty of Commerce in the subject of ECONOMICS and his project is entitled, “An Analytical study on FDI and FPI of India” under my supervision. I further certify that the entire work has been done by the learner under my guidance and that no part of it has been submitted previously for any Degree or Diploma of any University. It is her/ his own work and facts reported by her/his personal findings and investigations.

NAME AND SIGNATURE OF GUIDING TEACHER

DATE OF SUBMISSION

DECLARATION BY LEARNER

I the undersigned, Mr. Abhishek Ayyangar here by, declare that the work embodied in this project work titled “An Analytical Study of FDI and FPI in India” forms my own contribution to the research work carried out under the guidance of Dr Priyanka Mohan is a result of my own research work and has not been previously submitted to any other University for any other Degree/ Diploma to this or any other University. Wherever reference has been made to previous works of others, it has been clearly indicated as such and included in the bibliography. I, here by further declare that all information of this document has been obtained and presented in accordance with academic rules and ethical conduct.

DR. PRIYANKA MOHAN

(Project Guide)

DR. KOEL ROYCHODHURY

(Principal)

EXTERNAL EXAMINER

DATE OF SUBMISSION

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WHAT DO YOU UNDERSTAND BY FOREIGN EXCHANGE?

- ✓ The market in which national currencies are traded for one another is known as the foreign exchange market. It is the conversion of one country's currency into another. In a free economy, the currency is valued by the laws of supply and demand.
- ✓ Forex Reserves or Foreign Exchange Reserves helps in supporting and maintaining confidence in monetary policies and exchange rate management.
- ✓ It provides the capacity to intervene in support of the national or union currency. Foreign Exchange Reserves help in maintaining liquidity in the economy and helps the economy in economic crisis management.
- ✓ Foreign Exchange Reserves helps in ensuring that a country meets the foreign obligations and liabilities of a country.
- ✓ Forex Reserves facilitate external trade and payment and promote orderly development and maintenance of foreign exchange market in India.
- ✓ India has large foreign exchange reserves predominantly of cash, bank deposits, bonds and other financial assets

Foreign Exchange Rate System is categorized into two-

a) FIXED FOREIGN EXCHANGE RATE SYSTEM-

Foreign Exchange Rate is a rate which is officially declared and fixed by the government is known as Fixed Foreign Exchange Rate System.

b) FLEXIBLE FOREIGN EXCHANGE RATE SYSTEM-

Flexible Exchange Rate is a rate which is governed by the demand and supply in the economy and also the business environment which affects the rate from time to time.

✓ BALANCE OF PAYMENTS-

- It is a systematic statement record of transactions between the residents of a country and the rest of the world during the specific period of time is known as Balance of Payments.
- BOP consists of three main categories-
 - a. Current Account
 - b. Capital Account
- Current Account records the transactions relating to inflow and outflow of goods and services, investment earnings and transfer of funds.
- Capital Account records capital transactions which include purchase or sale of non-financial assets like land and building and financial immigration transfers.

INTRODUCTION TO FOREIGN DIRECT INVESTMENTS-



Foreign Direct Investment (FDI) represents a significant stake by a company based in one country in a business located in another. This form of investment goes beyond mere financial support; it encompasses the sharing of technology, skills, and expertise. FDI is instrumental in the operational involvement of foreign entities within local markets, ensuring not just a monetary infusion but also the exchange of knowledge and facilitation of international commerce.

This concept was brought out by the National Economic Policy, 1991 for the purpose to bring a better integration of banking, insurance and other financial agencies so that the capital markets can function smoothly in our country. Foreign Direct Investments also refer to capital inflows that is invested in to enhance the production capacity of the economy.

Foreign Direct Investments (FDIs) in India is a major monetary source for economic development in India. Foreign companies invest directly in India is to take benefits like cheaper wages and changing business environment of India. According to Financial Times, in 2015, India overtook China and United States of America (U.S.A.) as the top destination for Foreign Direct Investments.

The key to foreign direct investment is the element of control. Control represents the intent to actively manage and influence a foreign firm's operations. This is the major differentiating factor between FDI and a passive foreign portfolio investment.

Foreign Direct Investment includes all kinds of capital contribution, such as stock purchases, as well as re-investment of earnings by a wholly owned companies incorporated at abroad and lending of funds to a foreign

subsidiary or branch. The re-investment of earnings and transfer of assets between a parent company and its subsidiary often constitutes a significant part of FDI calculations.

Unlike Foreign Portfolio Investments or FPI, a foreign investor in a country can hold a maximum stake of any business or organisation in a foreign land that receives the investment. It is significant indicator of socio-economic and political stability.

Foreign Direct Investments can either be organic or inorganic. With organic investments, a foreign investor will bring in funds to expand and accelerate growth of established businesses. Inorganic Investments occurs when a multinational investor buys a business of the target country. Foreign entities have a say on the regular operations of the company. It is a major source of non-debt financial resources for the economic development of a country.

TYPES OF FOREIGN DIRECT INVESTMENTS

Foreign Direct Investments are categorised as per the World Trade Organisation-



a) Equity capital- The value of the Multinational Companies investment in shares of an enterprise in the foreign country. An equity capital stake of 10% or more of the ordinary shares or voting power in an incorporated enterprise or equivalent in an unincorporated enterprise is normally considered as a threshold for assets control.



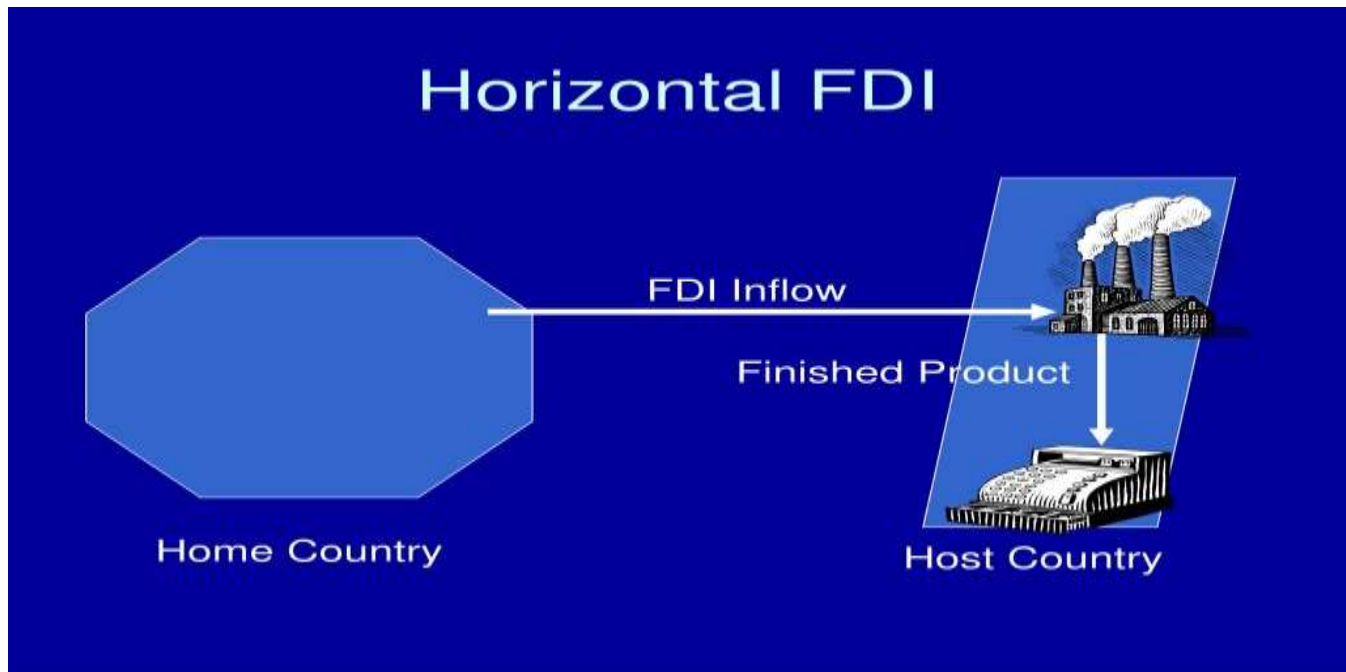
b) Re-invested capital-

This capital is the share of the Multinational company's earnings which are not yet distributed as dividends or remittances. This represents 60% of outward FDI in countries such as USA and United Kingdom etc.

c) Other Forms of Capital-

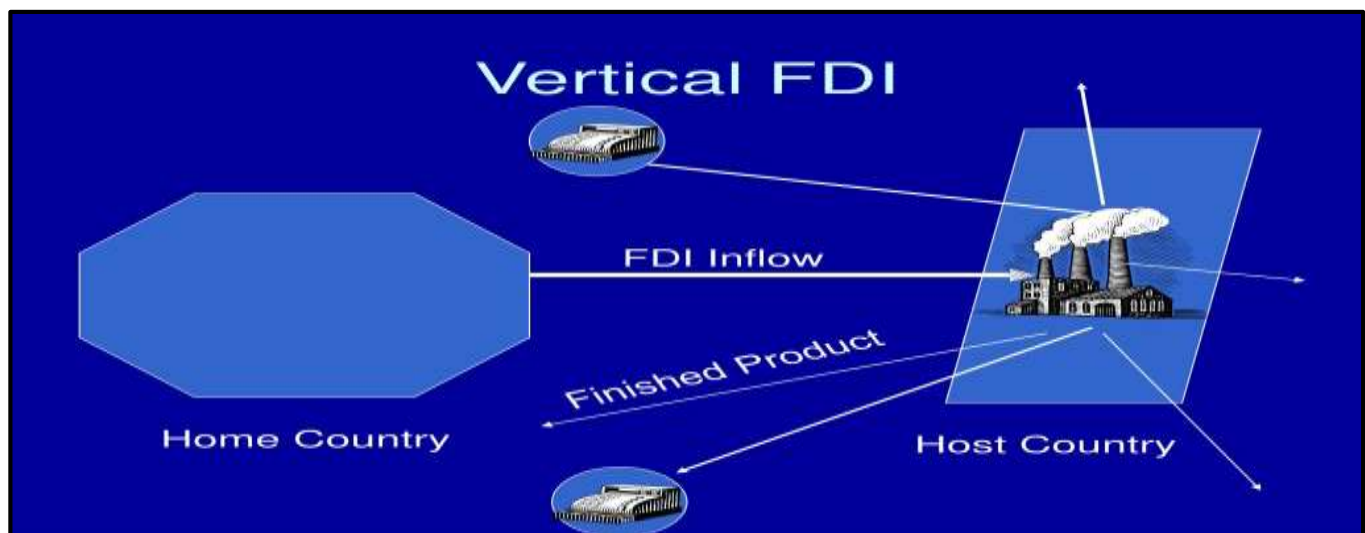
This refers to short or long term borrowing or lending of funds between the affiliates and the Multinational companies.

FOREIGN DIRECT INVESTMENTS CAN ALSO BE CATEGORISED INTO THESE TYPES-



1. HORIZONTAL FDI:

- In horizontal FDI, a company establishes the same type of business operation in a foreign country as it has in its home country.
- The primary goal is to expand market presence and reach new customers.
- Example: A fast-food chain opening branches in other countries with the same menu and brand.



2. VERTICAL FDI:

- Vertical FDI occurs when a company extends its operations into a foreign country by integrating vertically along the supply chain.

- It can be either backward integration (moving closer to raw material suppliers) or forward integration (moving closer to consumers).
- Example of backward integration: An automobile manufacturer setting up a factory to produce car parts in another country.
- Example of forward integration: A smartphone company opening retail stores in a foreign market.



3. CONGLOMERATE FDI:

- Conglomerate FDI involves a company investing in a foreign country's business that is unrelated to its existing operations.
- The focus is on diversification rather than synergy.
- Example: A technology company acquiring a hotel chain in a different country.

4. PLATFORM FDI:

- Platform FDI refers to investments made by companies that serve as platforms for other businesses.
- These platforms provide services such as logistics, e-commerce, or technology infrastructure.
- Example: An e-commerce platform expanding its operations globally to facilitate cross-border trade.

ARGUMENTS IN FAVOR OF FOREIGN DIRECT INVESTMENT-

1. JOB CREATION AND ECONOMIC EXPANSION:

The primary benefit of FDI is job creation, a vital factor for developing nations seeking economic growth. By bolstering the secondary and service sectors, FDI reduces unemployment rates, elevates income levels, and strengthens consumer purchasing power, collectively enhancing the nation's economic vitality.

2. ENHANCEMENT OF HUMAN CAPITAL:

FDI serves as a catalyst for workforce development, augmenting the collective knowledge and skill set through specialized training and practical experience. This elevation of human capital not only benefits the immediate workforce but also has a cascading effect on the broader economy as these skills become transferable.

3. REVITALIZATION OF UNDERDEVELOPED REGIONS:

A significant impact of FDI is the conversion of underdeveloped areas into bustling industrial hubs, thereby uplifting the socio-economic status of these regions.

4. ACCESS TO FINANCIAL AND TECHNOLOGICAL RESOURCES:

Businesses in recipient nations gain entry to cutting-edge financial instruments, state-of-the-art technology, and modern operational methodologies. The gradual assimilation of these advancements leads to heightened industry efficiency and productivity.

5. SURGE IN EXPORT VOLUMES:

FDI-driven enterprises often target international markets, contributing to a rise in export activities. The establishment of export-oriented units and Special Economic Zones further amplifies this effect, bolstering the country's export capabilities.

6. FOREIGN EXCHANGE STABILITY:

The consistent influx of FDI ensures a steady supply of foreign currency, aiding central banks in maintaining robust foreign exchange reserves and contributing to currency stability.

7. MARKET COMPETITIVENESS:

The introduction of foreign entities disrupts domestic monopolies, fostering a competitive marketplace. This competition compels firms to innovate and refine their offerings, leading to a dynamic economic environment.

8. ECONOMIC DEVELOPMENT STIMULUS:

FDI acts as a conduit for foreign capital and increased revenue generation. The establishment of industries necessitates local labour, materials, and equipment, which, upon operational commencement, contribute to the nation's service and product offerings.

ARGUMENTS AGAINST THE FOREIGN DIRECT INVESTMENTS-

1. DISAPPEARANCE OF COTTAGE AND SMALL SCALE INDUSTRIES-

Some of the products produced under the village, cottage industries and small scale industries have disappeared from the market due to onslaught of the products coming through Foreign Direct Investments etc. Example- Foreign Soft Drinks etc.

2. CONTRIBUTION TO INDUSTRIAL POLLUTION-

Foreign Direct Investment contribute to pollution problem in the country. Most of the developed countries shift their pollution- borne industries to the developing countries. The major victim of the industrial pollution is automobile industry.

3. EXCHANGE CRISIS-

Foreign Direct Investment is an important reason for exchange crisis at times. With inflation contributed by them, exports have dwindled resulting in the fall of domestic value of currency. As a result, the FDI's started withdrawing their capital leading to an exchange crisis. Thus, too much dependency on the Foreign Direct Investments will create an exchange crisis.

4. INFLATION IN THE ECONOMY-

The presence of Foreign Direct Investments contributes to the inflation in the country's economy. They spend a lot of capital on advertisements and consumer promotion. This is done at the cost of the consumers and price of the products increased. They also form cartels to control the market conditions and exploit the customers.

5. DISPLACEMENT OF LOCAL BUSINESSES-

Since the local companies have very limited capital as compared to foreign multinational companies. Foreign companies can easily acquire such local businesses and these businesses will get displaced.

6. RISK OF INTERFERENCE BY A FOREIGN GOVERNMENT

Due to signing different investment agreements such as bilateral trade agreements covering bilateral investments. The recipient country might be dragged to international courts whenever there is an issue with the foreign investors.

HISTORICAL BACKGROUND OF FDI AND FPI-

The origin of the financial crisis can be traced from the inefficient management of the Indian economy in the 1980s. In 1991, India met with an economic crisis relating to its external debt- the government was not able to make repayments on its borrowings from abroad and foreign exchange reserves drastically reduced. The crisis further compounded by the rising prices of essential goods. 1991 is a watershed in the history of independent India especially in the economic growth of the country. It is the year when the government decided to transform the economy from controlled economy into a market or open economy. The Prime Minister PV Narasimha Rao and the Finance Minister was Dr. Manmohan Singh brought some fundamental changes in the economic structure and approach to convert crisis into opportunity.

OBJECTIVES OF NATIONAL ECONOMIC POLICY (1991)

1. Enter into the field of 'globalisation and make the economy more market oriented.
2. Reduce the inflation rate and rectify the imbalances in the payments.
3. Increase the growth rate of the economy and create enough foreign exchange reserves.
4. Stabilise the economy and convert the Indian economy into a market economy by the removal of unwanted restrictions.
5. Allow the international flow of goods, capital, services, technology, human resources etc. without too many restrictions.
6. Enhance the participation of private players in all the sectors of the economy.

BRANCHES OF NEW ECONOMIC POLICY (1991)-

1. LIBERALISATION-

Rules and laws which were aimed at regulating the economic activities became major hindrances in the growth and development of the economy. Liberalisation was introduced to put an end to the restrictions and open the various sectors of the economy. There were some measures taken in 1980s in the areas of industrial licensing, export-import policy, technology upgradation, fiscal policy and foreign investment, reform policies initiated in 1991 were more comprehensive.

Mainly there are 5 types of reforms initiated in the year 1991-

A. INDUSTRIAL SECTOR REFORMS

Earlier these were regulations were followed in the industrial sector-

- a. Industrial Licensing under which every entrepreneur had to get permission from the government officials to start the firm, close a firm or decide the amount of goods that could be produced.
- b. Private sector was not allowed in many industries.
- c. Some goods could be produced only in small-scale industries.
- d. Controls price fixing and distribution of selected industrial products.

Liberalisation removed many of the above mentioned restriction. Industrial licensing was abolished except the below mentioned categories-

- ✓ Alcohol
- ✓ Cigarettes
- ✓ Hazardous Chemicals
- ✓ Industrial Explosives
- ✓ Electronics
- ✓ Aerospace
- ✓ Drugs and Pharmaceuticals

Only 2 industries are reserved under the Public Sector. These 2 industries include-

- ✓ Atomic Energy
- ✓ Railways

B. FINANCIAL SECTOR REFORMS-

- ✓ The financial sector reforms include institutions such as commercial banks, investment banks, stock exchange operations and foreign exchange market. In India, the financial sector is regulated by the Reserve Bank of India (RBI).
- ✓ The financial sector in India aims to reduce the role of RBI from regulator to facilitator of financial sector. This means that the financial sector may be allowed to take decisions on many matters without the consultation of RBI.
- ✓ Foreign Direct Investments in the banking sector was raised to around 74%. Certain conditions were to be fulfilled for the private banks to achieve freedom to set up new branches of its own without the approval of Reserve Bank of India and also allows rationalisation of their existing branch networks.
- ✓ Foreign Institutional Investors (FIIs) such as merchant bankers, mutual funds and pension funds are now allowed to invest in Indian financial markets.

C. TAX REFORMS-

- ✓ These reforms are concerned with the reforms of government taxation and public expenditure policies which are collectively known as the fiscal policy of India. This fiscal policy includes Direct Tax and Indirect Tax.
- ✓ Direct Tax consists of taxes on incomes of individuals, profits of business enterprises.
 - a. After the year 1991, there is a continuous reduction in the taxes as higher rates of income tax were an important reason of tax evasion.
 - b. Corporation Tax which was previously very high have gradually reduced.
- ✓ Even the reforms were introduced for the indirect taxes which is levied on the commodities in order to facilitate the establishment of common national market for goods and commodities.

D. FOREIGN EXCHANGE REFORMS-

- ✓ The first reform in the external sector in the foreign market. This reform includes devaluation of the Indian currency against the foreign currency to resolve the balance of payments. This led to increase in inflow of foreign currencies.
- ✓ It also allows the free determination of the exchange rates based on the demand and supply of the foreign exchange.

E. TRADE AND INVESTMENT POLICY REFORMS-

- ✓ Liberalisation of trade and investment regime was brought to increase the international competition of the industrial production and also brought foreign direct investments and technology into the economy.

- ✓ This reform aims to promote the efficiency of local industries and adoption of modern technology.
- ✓ Before the introduction of liberalisation, domestic industries in India were protected by quantitative restrictions on the imports were imposed to tighten the control on imports and also keep the tariffs high. But this reduced efficiency and competitiveness which led to slow growth of the manufacturing sector.
- ✓ Aims of Trade Policy Reforms-
 1. Dismantle the quantitative restrictions on imports and exports.
 2. Reduction of tariff rates.
 3. Removal of licensing procedures for imports.

2.PRIVATISATION-

- ✓ It implies of shedding the ownership or management of a government owned enterprise. Government companies can be converted into Private Companies in 2 ways-
 1. Withdrawal of the government from ownership and management of public sector companies.
 2. Outright sale of public sector companies.

✓ DISINVESTMENT-

- 1) Privatisation of the public sector enterprise by selling off certain percentage of equity of the Public Sector Undertakings (PSUs) to the public is known as Disinvestment.
 - 2) This sale by the government is done to improve financial discipline and facilitate modernisation. It envisaged that private capital and effective management could be effectively utilised to improve the performance of the Public Sector Undertakings.
- ✓ The government envisaged that privatisation can provide a strong way to provide inflow of Foreign Direct Investments.
 - ✓ Privatisation helped the government to improve the efficiency of the Public Sector Undertakings by giving them autonomy in taking managerial decisions.

3.GLOBALISATION-

- ✓ Globalisation means the integration of the economy of the country with the world. It is an outcome of many policies which aims at transforming the world towards greater interdependence and integration.
- ✓ It involves network creation and activities which transcend to economic, social and geographical boundaries. It creates links in such a way that happenings in India can be influenced by events that are happening in the outside world.

WORLD TRADE ORGANISATION (WTO)

The World Trade Organization (WTO) is an intergovernmental organization that is concerned with the regulation of international trade between nations. The WTO commenced on 01st January, 1995 under the Marrakesh Agreement signed by 123 nations on 15th April, 1994 replace the General Agreement on Tariffs and Trade (GATT) which commenced in 1948. WTO is one of the largest economic organization in the world.

WTO deals with the regulation of trade in goods, services and intellectual property between participating countries by providing framework for negotiation of trade agreements and initiating dispute resolution process. It aims at enforcing the participant's adherence to WTO Agreements, which are signed by the representatives of member government and ratified by their Parliaments. WTO prohibits discrimination between the

trading partners, but provides exceptions for environmental protection, national security and other goals.



Functions of World Trade Organization-

1. WTO facilitates implementation, administration and operation and further the objectives of General Agreement and the Multilateral Trade Agreements and also shall provide the framework of implementation of such Agreements.
2. World Trade Organization shall administer a Trade Review Mechanism.
3. WTO shall provide a forum for negotiations among the members concerning their multilateral trade relations in the matters dealt under the Agreement and its conditions.
4. WTO shall administer the understanding on Rules and Procedures governing the settlement of trading disputes.
5. WTO aims to achieve greater coherence in global economic policy making, it shall co-operate as appropriate with the International Monetary Fund (IMF) and with the International Bank for Reconstruction and Development (IBRD) and its affiliated agencies.

PRINCIPLES OF WORLD TRADE ORGANIZATION-

It means treating the locals and foreigners equally. This clause forbids discrimination between a member's own nationals and nationals of other members.

1. TRADE WITHOUT DISCRIMINATION:

- **MOST-FAVOURED-NATION (MFN):** Under WTO agreements, countries cannot normally discriminate between their trading partners. If a country grants a special favour (such as a lower customs duty rate) to one trading partner, it must extend the same treatment to all other WTO members. MFN treatment is fundamental and applies to trade in goods, services, and intellectual property.
- **NATIONAL TREATMENT:** Imported and locally-produced goods, services, and intellectual property should be treated equally once they have entered the market. This principle ensures that foreign products receive the same treatment as domestic ones.

2. OPENNESS AND TRANSPARENCY:

- WTO members commit to reducing tariff and non-tariff barriers to trade. Openness promotes fair competition and facilitates global commerce.
- Transparency ensures that trade policies, regulations, and practices are clear and predictable. Members must notify the WTO of their trade-related measures and provide information about their trade regimes.

3. Promoting Development:

- The WTO recognizes the need to promote economic development, especially in developing countries. Special and differential treatment provisions allow flexibility for developing nations to adjust to trade rules gradually.
- Technical Assistance and Capacity Building: The WTO provides technical assistance and training to help developing countries participate effectively in global trade.

4. DISPUTE SETTLEMENT MECHANISM:

- The WTO's dispute settlement system ensures that members adhere to trade rules. It provides a transparent and predictable process for resolving trade disputes.
- Compliance with dispute settlement rulings is essential for maintaining the integrity of the multilateral trading system.

5. COOPERATION AND CONSENSUS:

- WTO decisions are made through consensus among member countries. Cooperation fosters trust and enables collective decision-making. Members engage in negotiations to improve trade rules, address emerging issues, and adapt to changing economic realities.

CASE STUDY -01

China's protest of India's revised FDI Policy: A process of de-globalisation begins said the opine experts.

- Huma Siddiqui/ 22nd April, 2020 11.41 a.m.

On Monday, the Embassy of China in New Delhi issued a statement asserting “The development of Indian industries including mobile phones, household appliances, auto and infra sector which have created jobs in India due to the Chinese investments.” The statement is issued by the Spokesperson of the Chinese Embassy has expressed hope that India would revise relevant discriminatory practices and treat investments from different countries equally.

WHAT IS THE REVISED FDI POLICY?

The Department of Promotion of the Industry and Internal Trade (DPIIT) said that all the Foreign Direct Investment coming in from the countries share their borders with India will have to get the government approval.

This was done to ensure there are no hostile takeovers due to deteriorating market and economic conditions due to the spread of COVID-19.

CASESTUDY-02 INDIA'S TAKE ON COMPETITION BETWEEN ITS PHARMACEUTICAL SECTOR & FOREIGN GIANTS-



The newspaper article discusses an India-made drug for sickle cell anaemia. Here are the key points:

1. COST-EFFECTIVE SOLUTION:

- The India-made drug is a significant breakthrough because it costs less than 1% of the price of imported versions.
- This affordability can have a profound impact on patients' access to treatment.

2. SICKLE CELL ANAEMIA:

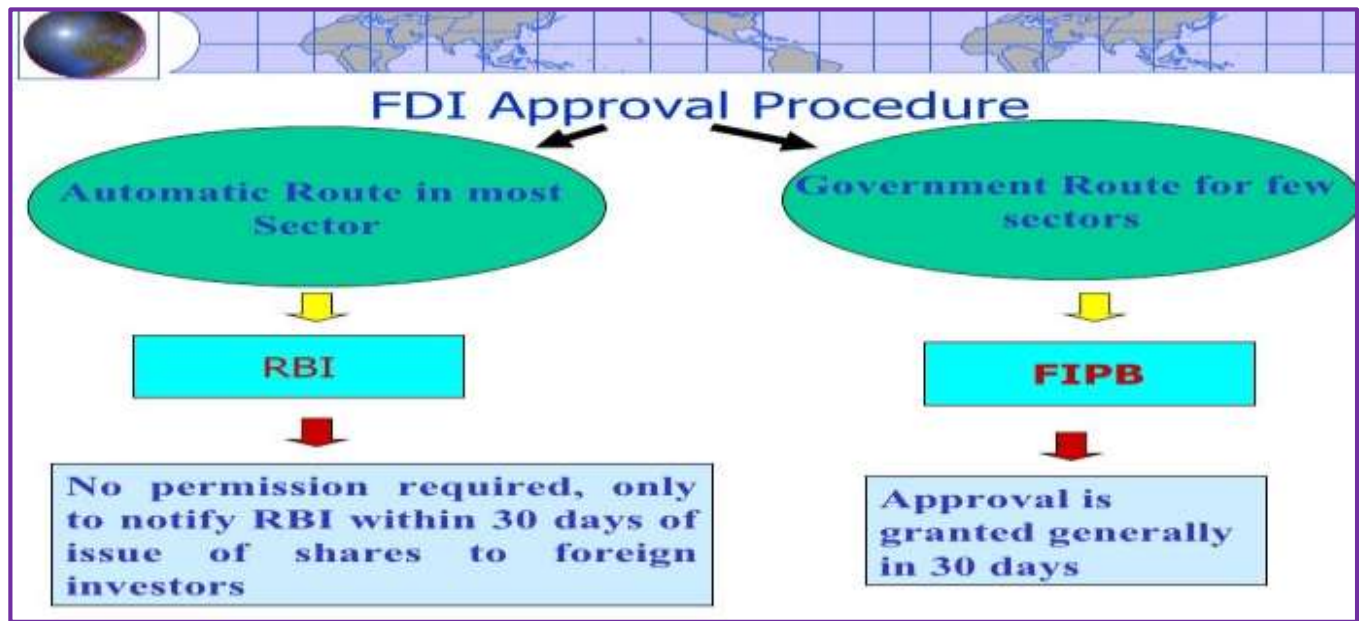
- Sickle cell anaemia is a genetic disorder characterized by abnormal haemoglobin, leading to misshapen red blood cells.
- It causes pain, fatigue, and other complications.

3. IMPORTANCE OF AFFORDABLE TREATMENT:

- Sickle cell anemia primarily affects people in developing countries, where access to expensive medications is limited.
- The availability of a cost-effective drug can improve the quality of life for affected individuals.

CONCLUSION: The development of an affordable India-made drug for sickle cell anaemia is a promising step toward addressing this health challenge. By making treatment accessible, it has the potential to positively impact the lives of millions of patients.

ROUTES OF FOREIGN DIRECT INVESTMENTS IN INDIA



1. AUTOMATIC ROUTE-

Foreign Direct Investments is allowed without any prior approval by the Government of India or Reserve Bank of India (RBI).

2. GOVERNMENT ROUTE-

Prior government are required by the government is needed via this route. An application has to be filed in the FDI Portal which is a single clearance window. This window will forward the application to the respective Ministries which will act on the application as per the Standard Operating Procedures. Foreign Investment Promotion Board (F.I.P.B) was responsible to oversee the Government Route which was then abolished on May 24th, 2017. Now the concerned Ministries will look after the applications with the consultation of Department for Promotion of Industry and Internal Trade and Ministry of Commerce Affairs which will formulate the SOPs for processing the applications and Government decision making under the extent of FDI Policy.

SECTORS WHICH ARE NOT INCLUDED FROM FOR FDI IN INDIA-

1. Lottery Businesses including Government/ Private Online Lottery etc.
2. Gambling and Betting including casinos.
3. Chit Funds
4. NIDHI Companies
5. Real Estate Business or Construction of Farm Houses.
6. Manufacturing of Cigars, Cigarettes, Tobacco or its substitutes.
7. Sectors which are not open to private sector investments- Atomic Energy, Railway Operations mentioned under the Consolidated FDI Policy.

FOREIGN DIRECT INVESTMENT APPROVAL PROCESS-

1. Proposal submission and document uploading on foreign investment facilitation portal.
2. Case assigned to relevant ministry by the Department for Promotion of Industry and Internal Trade (DPIIT) within the two working days.
3. Proposal shared online with the Reserve Bank of India (RBI) for review from the Foreign Exchange Management Act (FEMA) perspective within two days.
4. Competent Authority gives its decision in the next two weeks.
5. Proposal scrutinized and communication for additional information/ clarification, if required, is done within one week.
6. All proposals shared with Ministry of External Affairs (MEA) and Department of Revenue (DOR).

GOVERNMENT'S INITIATIVES

1. In March, 2020 the Government of India permitted Non- Resident Indians (NRIs) to acquire 100% stake in Air India.
2. In December 2019, Government allowed 26 % Foreign Direct Investments in Digital sectors.
3. In August 2019, Government permitted 100% Foreign Direct Investments under the Automatic Route in the Coal Mining for open sale.
4. 100 % stake Foreign Direct Investments is permitted for insurance sector by the Government.
5. In the Union Budget (2019-20), the Government of India proposed opening of the Foreign Direct Investments in aviation, media (animation, AVGC) and insurance sectors in consultation with all the stakeholders.
6. As of February 2019, the Government of India is working in roadmap to achieve its goals of US\$100 million worth of the F.D.I. inflows.
7. In February 2019, the Government of India released the Draft of National E- Commerce Policy which encourages F.D.I. in the marketplace model of e-commerce. Further, it states the FDI policy for e-commerce sector has developed to ensure a level, playing field for all.
8. The Government of India is in talks with the stakeholders to further ease foreign direct investments (FDI) in the defence under the Automatic Route of 51% from the current 49%, in order to give a boost to make in India initiative to generate employment.
9. In September 2018, the Government of India released the National Digital Communication Policy, 2018 which envisages increasing the FDI inflows in telecommunication sector to US\$ 100 Million by 2022.
10. On 28th July, 2023 Minister of Finance and Corporate Affairs Smt. Nirmala Sitharaman announced that listing of Indian companies at the GIFT IFSC (Gujarat International Finance Tech City International Finance Service Centre). This will allow a proper regulatory framework for Indian Public companies to issue and list their shares in the permitted International Stock Exchanges.
11. In the year 2020-2021, Union Finance Minister announced that government plans to set up Investment Clearance Cell which will help in facilitation and support to foreign investors in case of pre-investment risk advisory. This Cell will be integrated with the Ministries, Departments of Government of India for prior approvals as well.

12. One District One Product aims to identify and promote the production of unique products in each district in India which can be globally marketed. This will help in realising potential, generating employment and rural entrepreneurship.

13. Indian Government allows 100 % FDI in the space sector which allows enhanced private participation in the space sector. This aims to create effective implementation of space applications across various stakeholders.

14. Atmanirbhar Bharat Rozgar Yojana launched to incentivise creation of new employment opportunities during the COVID-19 recovery phase.

15. Government of India has undertaken several structural reforms with a focus on land, labour, liquidity and law that will position India as an attractive investment destination. Since the global pandemic onset, it has injected over 20 Lakh crores stimulus for the economy. The sectors include power, manufacturing, defence, land, education, mining and minerals.

16. Expanded definition of Micro, Small and Medium Enterprises to encourage their growth. In the year 2020, the new definition as per new composite criteria are-

Size of Enterprise	Investment Threshold in the Plant and Industry	Annual Turnover
Micro	< 1 crore	< 5 crore
Small	1 crore < Investment < 10 crores	5 crores < ATO < 50 crores
Medium	10 crores < Investment < 50 crores	50 crores < ATO < 250 crores

Before such enactment in the year 2020, industries were classified into Manufacturing Sector and Service Sector. However, these MSMEs were not defined on the basis of Annual Turnover.

Eligibility of MSMEs under the Manufacturing Sector (MSME Development Act, 2006)

Size of Enterprise	Investment Threshold in the Plant and Industry
Micro	< 25 Lakhs
Small	25 Lakhs < Investment < 5 crores
Medium	5 crores < Investment < 10 crores

Eligibility of MSMEs under the Service Sector (MSME Development Act, 2006)

Size of Enterprise	Investment Threshold in the Plant and Industry
Micro	< 10 Lakhs
Small	10 Lakhs < Investment < 2 crores
Medium	2 crores < Investment < 5 crores

CRITICAL ANALYSIS-

1. POLITICAL RISK-

Amongst the top items is the political instability on the one hand, the fact that India's the largest democracy does add sense of pride and security, but there is a presence of insurmountable instability. Moreover, each new government has certain policies are different from the ruling government, thus lead to increase in economic instability.

2. BUREAUCRACY-

Another very important factor that effects India's effectiveness on world standing democracy. Particularly in FDI process the government had already invested a lot of time and effort but there is still a lot of room of improvement in the identification, approvals and implementation process.

3.COST ADVANTAGE-

One of the attractions of India is the lower cost advantage as compared to most western economies. Indian government would have on creating an atmosphere where this can be maintained else it might result in India not seem as attractive. One of the key drivers would be to try and control inflation then there would be increased costs and reduced returns.

4. PRIVATIZATION AND DEREGULATION-

Increased privatisation of various sectors would definitely enhance the attractiveness of India as a FDI destination. India has already taken steps to privatise areas such as electricity, telecommunication etc. and increase the foreign holding capacity in sectors such as banking and insurance.

5. INFRASTRUCTURE-

It definitely is an added bonus to the investor if there is adequate infrastructure present in the country. In India, there is a substantial lack of robust infrastructure around the country eg, proper roads, highways, adequate supply of clean water, uninterrupted supply of electricity etc.

FACTORS ATTRACTING INVESTORS IN INDIA



1. MAKE IN INDIA-

Make in India is a very important government programme that has many sub- schemes under it. Its website also listed the 27 main sectors.

Manufacturing sector-

1. Aerospace and Defence
2. Automotive and Auto Components
3. Pharmaceuticals and Medical Devices
4. Biotechnology
5. Capital Goods
6. Textile and Apparels
7. Chemicals and Petrochemicals
8. Electronic System Design and Manufacturing (ESDM)
9. Leather and footwear
10. Food Processing

11. Gems and Jewellery
12. Shipping
13. Railways
14. Construction
15. New and Renewable Energy

Service Sectors-

16. Information Technology and Information Technology enabled Services (IT and ITeS)
17. Tourism and Hospitality
18. Medical Value Travel
19. Transportation and Logistics Services.
20. Accounting and Finance Services
21. Audio Visual Services
22. Legal Services
23. Communication Services
24. Construction and Related Engineering Services
25. Environmental Services
26. Financial Services
27. Education Services

Objectives of Make in India-

1. Raise manufacturing sector growth to 12-14% per year.
2. A rise in the domestic value addition and technological depth in the manufacturing sector.

2. PM Gati Shakti-

A Giant Stride in India's \$5 Trillion Economy Goal

Gati Shakti National Master Plan

Multimodal Connectivity Infrastructure to various Economic Zones

Targets upto 2024-25 for Ministry of Shipping

- Increase in Cargo capacity at the Ports to 1,759 MMTPA from 1,282 MMTPA in 2020
- Cargo movement on all National Waterways will be 95 million MT from 74 million MT in 2020
- Cargo movement on Ganga to be increased from 9 to 29 million MT

PM Narendra Modi

PIB

Source- <https://byjus.com/free-ias-prep/gati-shakti-master-plan-for-multi-modal-connectivity/>

PM Narendra Modi launched Gati Shakti – National Master Plan for Multi Modal Connectivity in October, 2021.

This aims at co-ordinated planning and execution of infrastructure projects to reduce logistics costs.

This master plan will also cover Economic Zones such as Pharmaceutical Clusters, Textile Clusters, Defence Corridors, Industrial Corridors and Electronic Parks and Agri zones etc.

It will usher in the seamless movement of goods and people all across India. PM Gati Shakti will provide public and business community information regarding the upcoming connectivity projects, other business hubs, industrial areas and surrounding environment.

3. PLI Scheme-

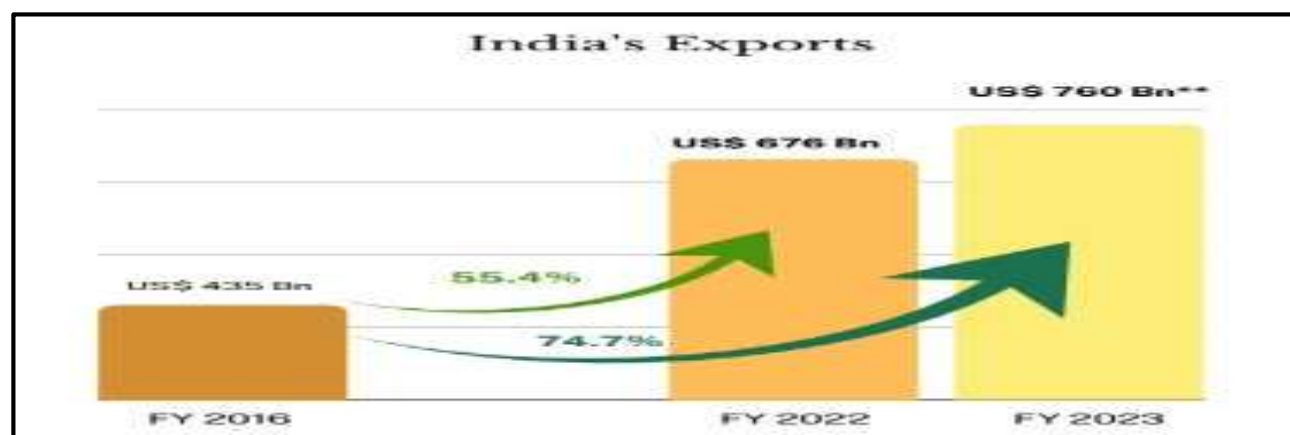


SOURCE- <https://marketsmithindia.com/post/pli-scheme>

Production Linked Incentive or PLI Scheme is a scheme that aims to give companies incentive on incremental sales from products manufactured in domestic units. It invites foreign companies to set up units in India. It also aims to encourage local companies to setup or expand existing manufacturing units and also generate more employment and cut down the country's reliance on imports from other countries.

In the Union Budget 2021, the Finance Minister Nirmala Sitharaman mentioned the inclusion of 13 more sectors under this scheme for the period of 5 years and Rs.1.97 lakh crores have been allocated for this scheme from the Financial Year 2022.

4. Export Promotion-



Special Economic Zones to be replaced with new legislation to facilitate states to become partners in 'Development of Enterprises and Service Hubs'.

The New Foreign Trade Policy 2023 was announced to provide the policy continuity and a responsive framework.

This policy will be a dynamic and responsive to the emerging trade scenario. Wider engagement with States and Districts to promote exports from the grassroots. It will also focus on E-Commerce Exports to streamline processes to make it easier for exports to grow in e-commerce space.

Export Promotion Initiatives of the Government also include-

- a) Assistance provided through several schemes like Trade Infrastructure for Export Scheme (T.I.E.S.) and Market Access Initiatives (MAI) Scheme.
- b) Common Digital Platform for CERTIFICATE OF ORIGIN has been launched to facilitate trade and increase FREE TRADE AGREEMENT(FTA) utilization by exporters.
- c) Rebate which are Central and State Levied Taxes Scheme aims to promote labour oriented sector export has been implemented from 07/03/2019.
- d) NIRYAT BANDHU aims to mentor first generation entrepreneurs and growing exporters on foreign trade using counselling, training and outreach programmes.
- e) EXPORT PROMOTION CAPITAL GOODS (EPCG Scheme) allows import of capital goods including spares for pre-production and post-production at nil duty subject to export obligation of 6 times of duty saved on capital goods imported to be fulfilled in 6 years.

5. Startup India Scheme-



Source- <https://startupsofindia.com/why-startup-india/>

The Start-Up India Scheme brings significant impact on Foreign Direct Investment (FDI) inflows by offering incentives and tax benefits which makes Indian start-ups more attractive for the foreign investors. The Scheme's focus on tech and innovation positions India as a hub for modern industries drawing in FDI for new and emerging technologies.

Key aspect of this initiative are as follows-

1)DPIIT RECOGNITION FOR START-UPS- Under this Scheme, the eligible companies can get recognized as Start-up by the Department of Promotion of Industry and Internal Trade. This recognition can provide access to various benefits like tax incentives, simplified compliance, fast tracking of intellectual property rights etc.

2)STATE STARTUP RANKING- An annual capacity building exercise which aims to create a conducive ecosystem for startups across India by sustained efforts of states and Union Territories.

3)NATIONAL STARTUP AWARDS- Recognizes exceptional startups across India contributing towards economic and social impact. Winners and finalists get an extensive support for their growth journey.

4)SEED FUND SCHEME- Provides financial assistance for startups for proof of concept, prototype development and commercialization.

FOREIGN PORTFOLIO INVESTMENT (FPI)-

Foreign portfolio investment (FPI) consists of securities and other financial assets held by investors in another country. It does not provide the investor with direct ownership of a company's assets and is relatively liquid depending on the volatility of the market. Along with foreign direct investment (FDI), FPI is one of the common ways to invest in an overseas economy. FDI and FPI are both important sources of funding for most economies.

FPI is investment by non-residents in Indian securities including shares, government bonds, corporate bonds, convertible securities and infrastructure securities etc. The class of investors who make investments in these securities are known as Foreign Portfolio Investors.

FPI is induced by differences in equity price scenario, bond yield, growth prospects, interest rate, dividends or rate of return on capital in India's financial assets.

SEBI has recently stipulated the criteria for Foreign Portfolio Investment. According to this, any equity investment by Non- Residents which is less than or equal to 10% of the capital is portfolio investment.

Investment by a foreign portfolio investor cannot exceed 10 % of the paid up capital of the Indian company. All FPI taken together cannot acquire more than 24% of the paid up capital of an Indian Company. As per the SEBI regulations, FPIs are not allowed to invest in unlisted shares and investment in unlisted entities will be treated as FDI.

It involves the making and holding of hands off or passive investment of securities done with the expectation of earning a return. In foreign portfolio investment, these securities can include stocks, American Depositary Receipts (ADRs) or global depository receipts of companies headquartered outside the investor's nation.

Foreign Portfolio Investments help in determining the country's exchange rates by-

- a) Influx of Foreign Portfolio Investments, it can lead to an appreciation of domestic currency. It is because that foreign investors convert their currency into local currency to make investments, increases the demand of local currency.
- b) During the depreciation of Foreign Portfolio Investments, it can lead to depreciation of domestic currency. In this situation, the demand of domestic currency decreases.

WHO ARE FOREIGN PORTFOLIO INVESTORS ?

Foreign Portfolio Investors includes investment groups of Foreign Institutional Investors (FIIs), Qualified Foreign Investors (QFIs) and subaccounts etc. NRIs doesn't come under FPI.

After the new SEBI guidelines, RBI stipulated that Foreign Portfolio Investors include Asset Management Companies, Banking Companies, Pension Funds, Mutual Funds and Investment Companies, Incorporated / Institutional Portfolio Managers or their Power of Attorney holders, University Funds, Endowment Foundation, Charitable Trusts and Charitable Societies etc. Sovereign Wealth Funds are also regulated as FIIs.

Meaning of the above underlined terminologies-

✓ ASSET MANAGEMENT COMPANIES-

An asset management company is a company which pools funds from investors and invests the funds in debt, equity, gold or real estate options. These companies the client's capital in a diversified and profitable equity portfolio.

✓ BANKING COMPANIES-

According to the Banking Regulation Act, 1949-

Banking companies accepts deposits from the general public, lends or further invests from the deposits. It ensures that the deposited money from the general public is repayable on demand. These companies allows withdrawal of funds by cheque, draft or other means.

✓ PENSION FUNDS-

According to Pension Fund Regulatory and Development Authority-

Pension funds are essential vehicles for securing financial well-being during retirement with an aim of generating regular returns that will support post- retirement.

✓ MUTUAL FUNDS-

A mutual fund is a financial instrument that pools money from different investors in form of securities or stocks of listed securities, government and corporate bonds and money market instruments.

✓ INVESTMENT COMPANIES-

An investment company is a specialized business that manages pooled capital from investors by investing it in financial securities by providing a variety of services like portfolio management, record keeping, custodial, legal, accounting and tax management services.

✓ UNIVERSITY/ENDOWMENT FUNDS-

University or Endowment Funds are the funds which the colleges, universities receive from organizational and individual donors. These comprises money or other financial assets. The primary purpose of these funds is research, teaching and public service missions of the institutions.

✓ CHARITABLE TRUST-

A charitable trust is an irrevocable trust established for charitable purposes which enjoy varying degrees of tax benefits in most of the countries and also generate goodwill.

✓ SOVEREIGN WEALTH FUNDS-

A Sovereign Wealth Fund is a state owned fund comprised of money generated by the government often derived from country's surplus reserves. These funds help in management of country's wealth, supporting economic stability and securing resources for future generations.

WHO ARE FOREIGN INSTITUTIONAL INVESTORS?

FII is an institution like Mutual Funds, Insurance Companies, Pension Funds etc. According to SEBI, "A FII is an institution established or incorporated outside India which proposes to make investments in India in securities." FII is an institution who is registered under Securities and Exchange Board of India (Foreign Institutional Investors) Regulations, 1995. FIIs comprised of Pension Fund, Mutual Funds, Investment Trust, Insurance Company or a Reinsurance Company.

ARGUMENTS IN FAVOUR OF FOREIGN PORTFOLIO INVESTMENTS

1. PORTFOLIO DIVERSIFICATION-

Foreign Portfolio Investments enables investors to diversify their portfolio on the international stage. It allows investors to diversify their assets across different countries and industries, reducing their overall exposure and risk to domestic fluctuations.

2. INTERNATIONAL CREDIT-

Foreign Portfolio Investments can give creditors a large credit base as it provides access to credit in foreign nations.

3. BENEFITS FROM EXCHANGE RATES-

If an investor has a FPI in a foreign country with a stronger currency than their own country, the difference in exchange rates between the two countries can benefit the investor.

4. FEASIBILITY-

Foreign Portfolio Investment option is feasible with retail investors as the amount of money is much less than that of the FDI and involves simpler legalities in general.

5. RETURNS-

Foreign Portfolio Investments give quicker returns as compared to that FDI basically the investor can sell his /her portfolio investments as and when he/she wants on the prevailing prices of that assets.

ARGUMENTS AGAINST FOREIGN PORTFOLIO INVESTMENTS-

1. CONTROL-

In contrast of FDI, in FPI the investor has no control over the management or functioning of the firm or business entity whose asset is bought.

2. VOLATILE-

Foreign Portfolio Investment are much more volatile to adverse shocks and thus their asset prices fluctuate every second. FPI is often driven by short-term market movements and speculation, rather than long-term fundamentals and value. This means that FPI can be very sensitive to changes in exchange rates, interest rates, political stability, economic performance, and investor sentiment. FPI can quickly flow in and out of a country, creating instability and uncertainty in the financial markets and the real economy.

3. ECONOMIC DISRUPTION-

Foreign Portfolio Investments are not dependable as it is prone to panic sell or whale/shark sell offs thereby reducing the asset price and leading to money crunch on a large scale which may disrupt the economy.

4. CONTAGION-

Foreign Portfolio Investments can also transmit shocks and crisis from one country to another through market integration and investor behaviour.

5. CROWDING OUT-

FPI is often driven by short-term market movements and speculation, rather than long-term fundamentals and value. This means that FPI can be very sensitive to changes in exchange rates, interest rates, political stability, economic performance, and investor sentiment. FPI can quickly flow in and out of a country, creating instability and uncertainty in the financial markets and the real economy. Moreover, if the foreign portfolio debt is denominated in foreign currency, it can expose the country to currency and rollover risks, especially if the debt maturity is short-term and the debt service is high.

TYPES OF FOREIGN PORTFOLIO INVESTMENTS-

1. EQUITY INVESTMENTS-

1. Equity Investments refer to FPI's participation in the stock market by purchasing shares or equity instruments of Indian companies.
2. Foreign Portfolio Investors become partial owners of the company proportional to their shareholding.
3. They benefit from dividends and capital appreciation.
4. Equity investments are relatively more volatile due to market fluctuations.
5. For example- A Foreign Portfolio Investor buying shares of an Indian tech company listed on stock exchange.

2. DEBT INVESTMENTS-

1. Debt investments involve FPIs investing in fixed-income securities issued by the Indian government or corporate entities.
2. Debt instruments include government bonds, corporate bonds, debentures, and other debt securities.
3. FPIs receive interest income (coupon payments) periodically.
4. Generally considered less risky than equities.
5. For example, FPI purchasing Indian government bonds.

3. DEBT-VRR (VOLUNTARY RETENTION ROUTE) INVESTMENTS-

1. Debt- VRR is a special category introduced by the Reserve Bank of India (RBI) to attract long term FPIs in the Indian debt.
2. FPIs voluntarily commit to retain their investments for a specified period.
3. Allows flexibility in investment limits based on market conditions.
4. Encourages stable inflows and reduces volatility.
5. For example, A FPI participating in the Debt-VRR Scheme by investing in Indian Corporate Debt.

4. HYBRID INVESTMENTS-

1. Hybrid Investments combine the elements of both equity and debt.
2. FPI's invest in instruments that have features of both asset classes.
3. These investments balances both risks and returns.
4. For Example, A FPI buying convertible bonds issued by an Indian infrastructure company.

DIFFERENCE B/W FOREIGN DIRECT INVESTMENTS AND FOREIGN PORTFOLIO INVESTMENTS-

NO.	Foreign Direct Investment	Foreign Portfolio Investment
1.	Foreign Direct Investment pertains to international investment in which the investor obtains a lasting interest in an enterprise in another country.	Foreign Portfolio Investment refers to the investment made in the financial assets of an enterprise, based in one country by the foreign investors.
2.	The investors for F.D.I are active in nature.	The investors of F.P.I are inactive in nature.
3.	Direct Investments in assets are made through F.D.I.	Indirect Investments in assets are made through F.P.I.
4.	FDI are long term in nature.	F.P.I are short term in nature.
5.	F.D.I are stable in nature.	F.P.I are volatile in nature.

RELATIONSHIP BETWEEN FOREIGN INVESTMENTS AND GROSS DOMESTIC PRODUCT (GDP)-

Foreign Investments have always been a trigger for accelerating growth in any of the developing economies of the world. The pattern of FDI inflows into India and its neighbourhood has been varied and so has been its impact on the economic growth in each of the countries. A lot of research has been carried out to establish the relationship between the FDI inflows and GDP (Gross Domestic Product). But some conclusions were varied as well as conflicting. This study attempted to study the pattern of FDI into the Indian subcontinent and India's neighbours like Pakistan, Nepal and Bangladesh and Sri Lanka etc. Final results showed that different economic policies adopted by these countries had a role in explaining the association between FDI and GDP and in all the cases, FDI is instrumental in enhancing the economic growth of the countries included in the study.

CHAPTER-02 RESEARCH METHODOLOGY

WHAT IS RESEARCH?

Research is an activity which includes investigation and application of matter. The main purpose of the applied research is to discover, interpret and develop the methods and systems to advance human knowledge on a wide variety of subjects around the world. Research is described as an entire collection of information about a particular subject. Methodology is described as a way of conducting a study and analysis of a project. It is a systematic study which is conducted on the basis of reports prepared.

Research Methodology includes both method of conducting research and the logic behind the research method which is relevant in terms of study context and explains the reason of utilising that research technique.

This section delineates the research methodology, which is the organized approach to conducting research. The term ‘research methodology’ encompasses the systematic and scientific methods employed for problem-solving or uncovering facts. This chapter unveils the procedures undertaken in the current study. It details the research methods, techniques, and the rationale behind the investigation. Each research project requires a unique design to address problems or to discover truths.

The concept of methodology pertains to the overarching strategies researchers utilize to study a topic. As per Hussey and Hussey (1997), methodology involves the rationale for data collection, the types of data gathered, data sources, the timing of data collection, and the methods and tools used for data collection and analysis. Research methodology holds significant importance in any study. Clark et al. (1984) suggest that research methodology shapes the questions that can be posed and the kind of evidence that can be collected. Prior to selecting data collection methods and analysis techniques, it is essential to consider various critical aspects of methodology.

This study gives an Analysis of Foreign Direct Investments and Foreign Portfolio Investments in India. Foreign Investments which can be in the form of Direct (Active) and Portfolio (Passive) provides new employment opportunities to the educated youth in the Indian society. Foreign Investments provides international support in technological and infrastructural advancements.

An open ended survey in the form of questionnaire will help me understand the public opinion on India’s growth in terms of infrastructure and employment opportunities through Multinational Companies and Transnational Companies who are setting up their manufacturing units in India.

Based on the responses received from the respondents, conclusions can be drawn for every aspect of the topic brought down through the questions. This method will allow to measure the significance of the results

on the Indian population and will also help in tracking the respondent's opinion, attitude and behaviour with respect to the time.

Research Design is a blueprint of collection, measurement and data analysis. The study will help in identifying extent of dependency on foreign capital.

Possible questions can be answered through an extensive research as well through the response based study.

Whether India can become self-reliant economy rather than depending on foreign investments?

Whether Make in India Scheme be successful in the near future?

Whether Indian companies can survive or strive the international competition in India or in the global arena?

Sampling Size will indicate the number of people who are surveyed. Though large sample size will give reliable results but this study is limited to small number of respondents.

In the given study, **Descriptive and Exploratory Research** are conducted.

a. DESCRIPTIVE RESEARCH-

This research is also called as Statistical Research. This research is to describe the data and characteristics about the study. It helps to measure and study the attitude and also figure out the other statistical calculation. Descriptive Research is used to obtain the information about the current status in relation to the subject.

b. EXPLORATORY RESEARCH-

Exploratory research is an investigative approach often employed when there is a new problem or topic that hasn't been studied in depth before. It allows researchers to become familiar with the subject matter, gather preliminary information, and establish a clearer research direction. This type of research is not aimed at providing conclusive evidence, but rather at uncovering trends, patterns, and insights that can lead to more structured, future research. Techniques used in exploratory research can include qualitative methods like interviews, focus groups, and ethnographic studies, as well as quantitative methods like surveys with open-ended questions. The key is that the approach remains flexible and adaptable to new findings as the research unfolds.

OBJECTIVES OF THE STUDY

A detailed analysis of Foreign Direct Investment (FDI) and Foreign Portfolio Investments (FPI) in India would encompass several key areas-

1) HISTORICAL OVERVIEW AND CURRENT TRENDS-

The study would involve a review of FDI and FPI inflows into India over time noting any significant changes or trends. This may also help us to study and analyse the determinants behind Indian FDI inflows from its top source countries.

2) POLICY ENVIRONMENT AND REFORMS-

An examination of the policy measures implemented by the Indian government such liberalisation policies, tax incentives and Special Economic Zones which have been instrumental in attracting FDI. The Make in India initiative for example has been a significant policy aimed at increasing manufacturing and attracting foreign investments.

3) SECTORAL ANALYSIS-

Identifying the sectors which attracted the most Foreign Direct Investments (FDI) and Foreign Portfolio Investments (FPI) and analysing the reasons behind these investments. This includes services like telecommunication, construction and computer software and hardware.

4) SOURCE COUNTRIES-

Analysing which countries are the largest investors in India and understanding the bilateral relations that influence these foreign investments.

5) ECONOMIC IMPACT-

Assessing how FDI and FPI have contributed towards India's GDP, employment, infrastructure development and technological advancements.

6) CHALLENGES AND BARRIERS-

Discussing the challenges faced by the foreign investors in India such as bureaucratic hurdles, regulatory uncertainties and infrastructural constraints.

7)COMPARATIVE ANALYSIS-

Comparing FDI and FPI in terms of stability, investor control and impact on the economy. FDI is considered more stable and involves direct control on the investment whereas FPI is more volatile and does not provide control over the management.

8)FUTURE OUTLOOK-

Projecting the future trends of FDI and FPI in India based on the current data and potential policy changes and global economic conditions.

9)RECOMMENDATIONS-

Based on the analysis, providing recommendations for policymakers to improve the investment climate in India to attract more FDI and FPI.

This is a comprehensive analysis which will provide valuable insights into the role of FDI and FPI in India's economic growth and offer guidance for future investment strategies.

SCOPE OF THE STUDY-

1. Macro-Economic Impact: Evaluate the broader economic implications of FDI and FPI on India's GDP, employment, trade balance, and currency stability.
2. Regulatory Framework Analysis: Analyze the evolution of India's regulatory environment and its impact on the attractiveness and effectiveness of FDI and FPI.
3. Risk Assessment: Assess the political, economic, and financial risks associated with FDI and FPI in India and their impact on investor confidence and behaviour.
4. Comparative Global Context: Place India's FDI and FPI trends within the global context, comparing with peer economies to identify unique challenges and opportunities.
5. Investor Behaviour Study: Investigate the behaviour patterns of foreign investors in India, including entry strategies, investment horizons, and exit patterns.
6. Impact on Technology Transfer- Examine how FDI and FPI contribute to the transfer of technology and innovation in India's business ecosystem.
7. Sustainable Developmental Goals- Explore the alignment of FDI and FPI with the SDGs and their role in promoting sustainable economic development in India.
8. Future Outlook- Utilize predictive analytics to forecast future trends of FDI and FPI in India, considering potential geopolitical shifts and economic policies.

LIMITATIONS OF THE STUDY-

While conducting an analytical study on FDI and FPI in India, it is crucial to recognise the potential limitations that could influence the study's outcomes. Unique Limitations of the Study are as follows-

1. Data Availability-

Access to comprehensive and upto date data on FDI and FPI can be challenging. This study rely on data that is not disaggregated by sector or type of investment which could affect the depth of analysis.

2. Temporal Boundaries-

The study's timeframe may limit the ability to capture long term investment trends and their effects on the Indian economy. Short-term data may not reflect underlying pattern or shifts in the investment behaviour.

3. Regulatory Dynamics-

India's investment regulations are subject to change, which can alter the investment landscape. This study may not fully account for the implications of the future regulatory modifications.

4. External Shocks-

Unforeseen global events such as economic downturns or political instability can impact FDI and FPI flows. These events are often outside the scope of future regulatory modifications.

5. Methodological Constraints-

The choice of analytical methods may introduce limitations. Certain complex investment phenomenon may not be adequately captured by the chosen research techniques.

6. Contextual Specificity-

The findings from the study may be specific to the Indian context and may not be applicable to other countries with different economic structures and investment climate.

7. POLICY PREDICTABILITY-

While the study might assess the impact of the current policies, predicting the outcomes of the future policy changes is challenging and falls outside the scope of the study.

HYPOTHESIS OF THE RESEARCH STUDY-

Since the implementation of economic reforms and liberalisation policy i.e. New Economic Policy, India experienced a significant increase in FDI and FPI inflows. This study hypothesizes that growth in FDI and FPI has had a positive impact on the India's economic development, contributing to GDP growth, technological advancements and employment generation. This study also considers the potential volatility and risk associated with FPI which may lead to economic instability during global financial shocks. This study aims to analyse the trends, patterns and impacts on FDI and FPI in India's key sectors and their contribution to sustainable economic growth.

This hypothesis is grounded on the premise that while FDI brings long term capital investment and technology transfer, contributing to industrial growth and job creation, FPI provides the necessary liquidity in the financial markets but may also lead to financial volatility. The study aims to measure the extent to which these investments have influenced India's economic trajectory considering both the benefits and challenges they present.

The hypothesis also provides a comprehensive framework to analyse the multifaceted effects of FDI and FPI in the Indian economy considering both the benefits and associated risks. The hypothesis also considers the importance of regulatory environment, policy changes and government initiatives that shaped the investment in India.

It can be stated that statistical methods are adopted in this study to determine the relationship between the Foreign Investments and Economic development. Conclusions can be drawn on the significant role of FDI and FPI in India's economic growth and stability.

QUESTIONNAIRE

TYBAF UNIVERSITY OF MUMBAI RESEARCH PROJECT

Hello everyone! I am Abhishek Ayyangar, a B.Com (Accounting and Finance) student at the University of Mumbai. As part of my research project, I have prepared a set of questions to gauge public opinion on Foreign Direct Investment (FDI) and Foreign Portfolio Investment (FPI). Please rest assured that participants' responses will remain confidential and will not be shared publicly or used to identify individuals. This exercise is purely for educational purposes.

* Required

1. Name of the respondent *

2. Email Id of the respondent

3. The respondent belongs to which age group? *

- ☐ 18-30
- ☐ 30-45
- ☐ 45-60
- ☐ 60 and above

4. How much would you rate yourself on your understanding of FDI and FPI *



5. "Is 'Make in India' a more favorable approach than importing materials and services from other countries?" *

- ☐ Yes
- ☐ No
- ☐ Maybe

6. "In 2020, the Indian government updated its Foreign Direct Investment (FDI) policy, requiring prior government approval for investments from countries that share borders with India. Given this policy change, will India remain China's largest consumer market?" *

- ☐ Yes
- ☐ No
- ☐ Maybe

7. Foreign Direct Investment has significantly contributed to the technological advancement in India. Do you agree with the statement? *

- ☐ Extremely true
- ☐ Somewhat true
- ☐ Slightly true
- ☐ Not true at all

8. Do you feel that India can become a self-reliant economy rather than depending on foreign investments. *

- ☐ Yes
- ☐ No
- ☐ Maybe

9. Do you feel that Indian companies or recent startups can possibly defeat the International Players in India or even in global markets? *

- ☐ Yes
- ☐ No
- ☐ Maybe

10. Do you feel that Indians are now proud to use commodities or products completely manufactured in India rather than commodities produced in abroad? *

- ☐ Yes
- ☐ No
- ☐ Maybe

11. According to your opinion- How does Foreign Direct Investment boosts economic growth? *

- ☐ By increasing the money supply in the economy,
- ☐ By boosting the demand in the economy
- ☐ By reducing the unemployment
- ☐ By increasing the employment opportunities

12. What is the most significant risk of Foreign Investments? *

- ☐ Loss of Sovereignty
- ☐ Threat to domestic industries
- ☐ Dependency on foreign capital
- ☐ All of the above

13. Which factor influences the Foreign Investments in India the most? *

- ☐ Facilitating ease of doing business
- ☐ Government can provide subsidies and tax benefits to MNCs
- ☐ Simplification of Regulatory Procedures
- ☐ Infrastructure and skilled human capital

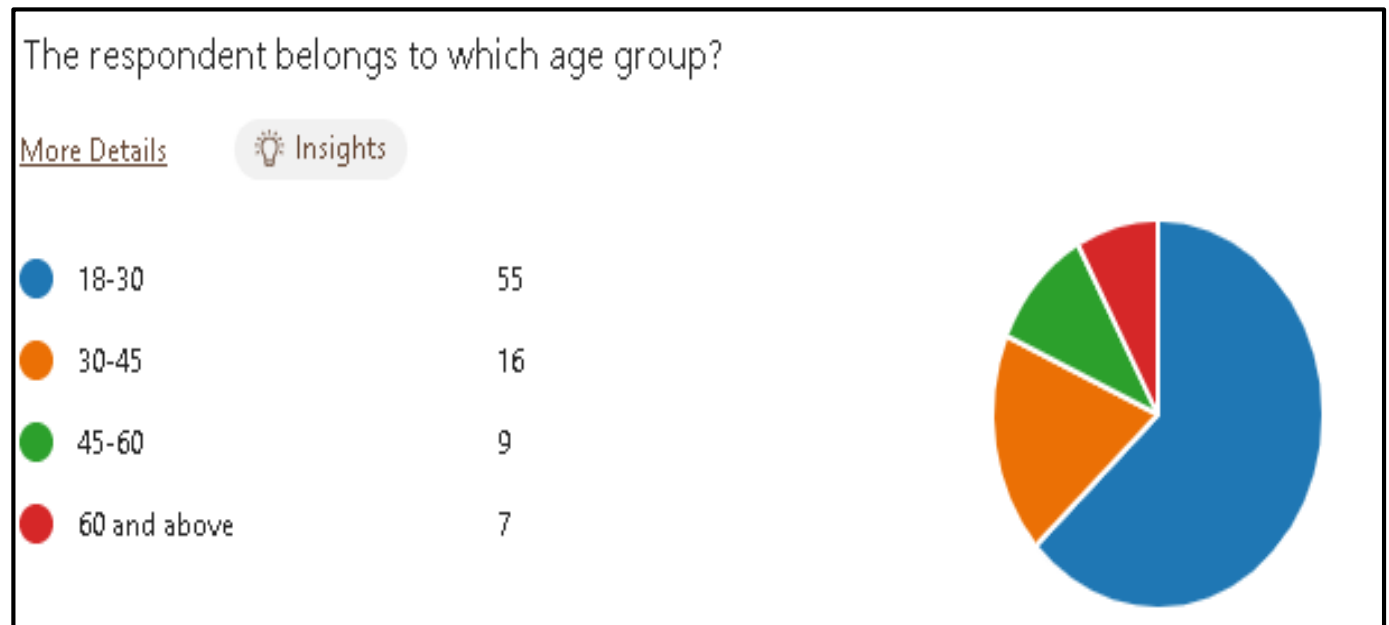
14. Why is India a preferred destination for foreign investors? *

- ☐ Production Linked Schemes by the Government
- ☐ Rich in Natural Resources
- ☐ Improvement in Infrastructure
- ☐ Promising Long term Potential

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 Microsoft Forms

QUESTIONNAIRE ANALYSIS-



ANALYSIS AND INTERPRETATION-

AGE GROUP	NO OF RESPONDENTS	PERCENTAGE
18-30	55	63.2183908
30-45	16	18.3908046
45-60	9	10.34482759
60 & ABOVE	7	8.045977011
TOTAL	87	100

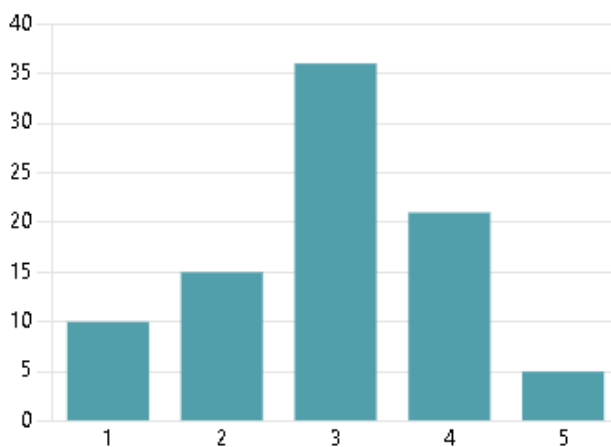
Majority of the respondents are from the 18-30 age group who participated in this questionnaire.

How much would you rate yourself on your understanding of FDI and FPI

[More Details](#)

 Insights

2.95
Average Rating



ANALYSIS AND INTERPRETATION-

This graph assesses individuals' self-rated understanding of FDI (Foreign Direct Investment) and FPI (Foreign Portfolio Investment). The average rating given is 2.95, indicating a moderate level of self-assessed knowledge among the respondents.

SR. NO.	RATING	NO. OF RESPONDENTS
LEVEL-1	1	10
LEVEL-2	2	15
LEVEL-3	3	36
LEVEL-4	4	21
LEVEL-5	5	5

Majority of the respondents have an average or an intermediate understanding about the FDI and FPI.

5 respondents have a very deep understanding about the subject.

21 respondents have above the intermediate level and below the advanced level knowledge about the subject.

"Is 'Make in India' a more favorable approach than importing materials and services from other countries?"

[More Details](#)

 Insights

 Yes	67
 No	4
 Maybe	16



ANALYSIS AND INTERPRETATION-

77 % of the total respondents feel that Make in India is a favourable approach than importing materials and services from other countries.

IT MAY BE DUE TO SOME OF THESE MENTIONED REASONS-

1. It ensures economic growth because it motivates the manufacturing within the country which helps in building a self-reliant nation.
2. Make in India will reduce imports which will reduce the trade deficit of the Indian economy and this can also strengthen the Indian currency.
3. Make in India can increase brand value of the Indian products in the Indian market and global scale market.
- 4.This initiative will leverage skills and talents of the Indian workforce which is abundant and cost effective.
5. Indian industries are known for producing high quality goods often using high quality equipment and also taking a sense of pride of their manufacturing work.

“In 2020, the Indian government updated its Foreign Direct Investment (FDI) policy, requiring prior government approval for investments from countries that share borders with India. Given this policy change, will India remain China’s largest consumer market?”

[More Details](#)

 Insights

Yes	26
No	21
Maybe	40



ANALYSIS & INTERPRETATION-

Based on the information provided, my interpretation of the pie chart would focus on the public opinion regarding India’s updated Foreign Direct Investment (FDI) policy and its impact on India’s role as China’s largest consumer market. Here’s a hypothetical interpretation, assuming the pie chart showed a variety of responses:

- If a significant portion of the pie chart showed positive responses, it could indicate that the public perceives the updated FDI policy as beneficial for strengthening India’s economic position against China.
- A considerable number of neutral responses might suggest that a part of the public is either undecided or believes the policy changes will have no significant impact on the market dynamics between India and China.
- Negative responses could reflect concerns or scepticism about the effectiveness of the policy changes in altering India’s consumer market relationship with China.

Foreign Direct Investment has significantly contributed to the technological advancement in India. Do you agree with the statement?

[More Details](#)

 Insights

 Extremely true	27
 Somewhat true	50
 Slightly true	9
 Not true at all	1



ANALYSIS & INTERPRETATION-

Based on the survey results depicted in the image, it seems that a majority of the respondents agree to some extent that Foreign Direct Investment (FDI) has significantly contributed to technological advancement in India. This positive response could reflect a general sentiment that FDI has been a catalyst for innovation and modernization in various sectors of the Indian economy.

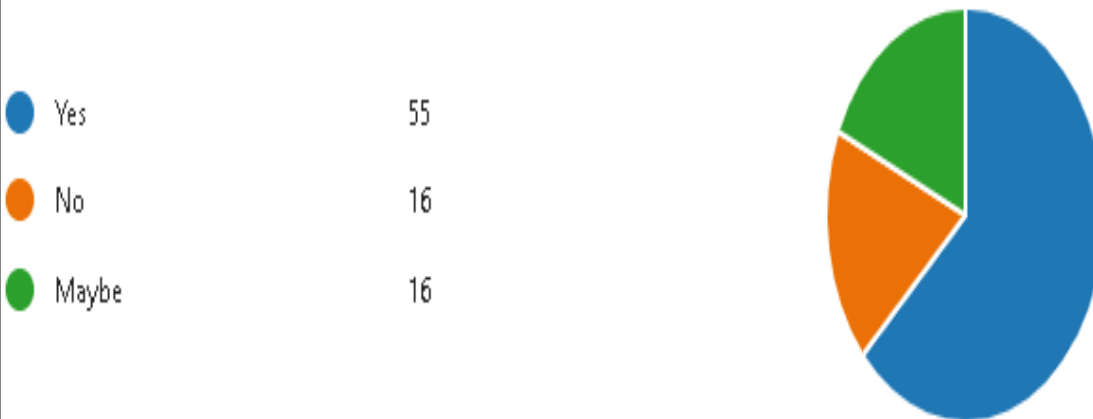
The overwhelming agreement might also suggest that the public recognizes the benefits of FDI in terms of knowledge transfer, improved infrastructure, and increased competitiveness in the global market. It indicates that FDI is perceived not just as a source of capital but also as a means of bringing in new technologies and practices that can boost productivity and quality standards.

This interpretation aligns with the broader economic narrative that FDI can play a crucial role in a country's development by facilitating access to cutting-edge technologies and fostering an environment conducive to growth and progress. The survey results could be used by policymakers and business leaders to further encourage and streamline FDI flows into India, emphasizing its importance in driving technological progress and economic growth.

Do you feel that India can become a self-reliant economy rather than depending on foreign investments.

[More Details](#)

 Insights



ANALYSIS & INTERPRETATION-

Based on the survey results depicted in the pie chart, it appears that a majority of respondents believe India has the potential to become a self-reliant economy without depending heavily on foreign investments. This sentiment reflects a confidence in India's internal capabilities and resources to sustain economic growth and development.

The distribution of responses, with a predominant segment indicating a positive outlook towards self-reliance, suggests that there is a significant level of optimism among the public. This could be due to a variety of factors, such as recent economic policies, advancements in technology, and a growing emphasis on domestic industries.

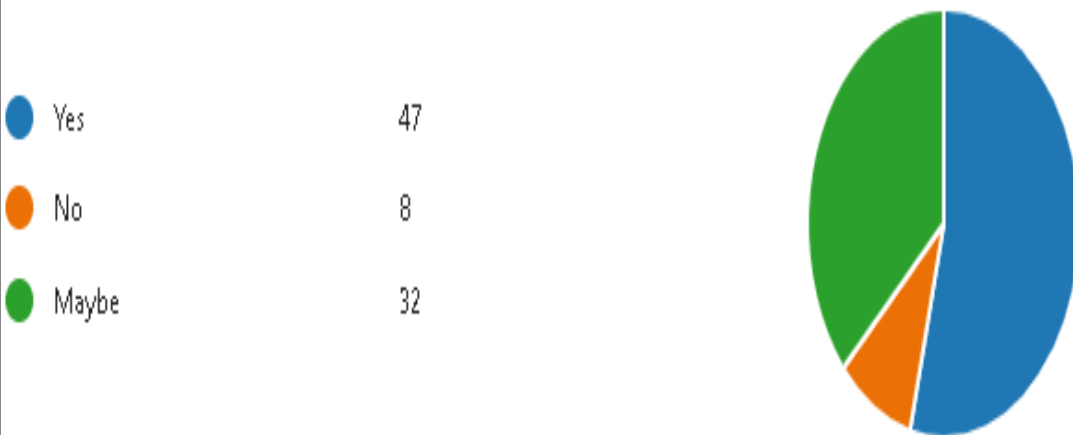
The "Yes" responses indicate a belief that India can leverage its vast market, rich resources, and human capital to build a robust economy. The "Maybe" responses might reflect a cautious optimism, acknowledging the potential while also considering the challenges that lie ahead. The "No" responses could represent scepticism about the current economic structure or the feasibility of reducing dependency on foreign investments.

Overall, the pie chart conveys a strong inclination towards the idea of India's self-reliance, which aligns with the nation's strategic goals and initiatives like "Make in India." It underscores the public's desire for economic policies that promote independence and resilience.

Do you feel that Indian companies or recent startups can possibly defeat the International Players in India or even in global markets?

[More Details](#)

 Insights



ANALYSIS & INTERPRETATION-

The pie chart reflects a positive outlook among the respondents regarding the ability of Indian companies or start-ups to compete with international players. The optimism shown in the poll results suggests confidence in the local business ecosystem's potential to innovate, grow, and challenge established global entities.

This confidence could stem from several factors, such as the growth of the Indian economy, the increasing quality of Indian products and services, government initiatives supporting start-ups, and the success stories of Indian companies that have already made a mark on the international stage.

The interpretation of this data is that there is a belief in the capability and future prospects of Indian businesses to not only survive but also thrive in the competitive global market. This sentiment can encourage entrepreneurs, attract investors, and influence policy-making to further support the start-up ecosystem in India.

Do you feel that Indians are now proud to use commodities or products completely manufactured in India rather than commodities produced in abroad?

[More Details](#)

 Insights

	Yes	60
	No	7
	Maybe	20



ANALYSIS AND INTERPRETATION-

The survey result shown in the image indicates a strong sense of national pride among Indians when it comes to using products made in India. The majority “Yes” response suggests that many people feel a connection to domestically produced goods, which may be due to a variety of factors such as supporting the local economy, belief in the quality of Indian products, or a desire to reduce reliance on imports.

This sentiment aligns with broader initiatives aimed at boosting domestic manufacturing and consumption within India, reflecting a trend towards economic self-sufficiency and national confidence. It’s a positive sign for Indian producers and could potentially lead to increased investment in local businesses and a more robust national economy.

According to your opinion- How does Foreign Direct Investment boosts economic growth?

[More Details](#)

 Insights

- By increasing the money supply ... 28
- By boosting the demand in the ... 20
- By reducing the unemployment 11
- By increasing the employment o... 28



ANALYSIS & INTERPRETATION-

The pie chart indicates that there is a general consensus on the positive role of Foreign Direct Investment (FDI) in boosting economic growth. The colourful representation suggests a variety of opinions, but the predominance of certain colours may point to a majority view that FDI is beneficial for the economy. This reflects an understanding that FDI can bring in capital, technology, and expertise, which are essential for economic development and competitiveness in the global market. The poll results could be used to inform policy decisions and encourage further foreign investment in the country.

What is the most significant risk of Foreign Investments?

[More Details](#)

 Insights

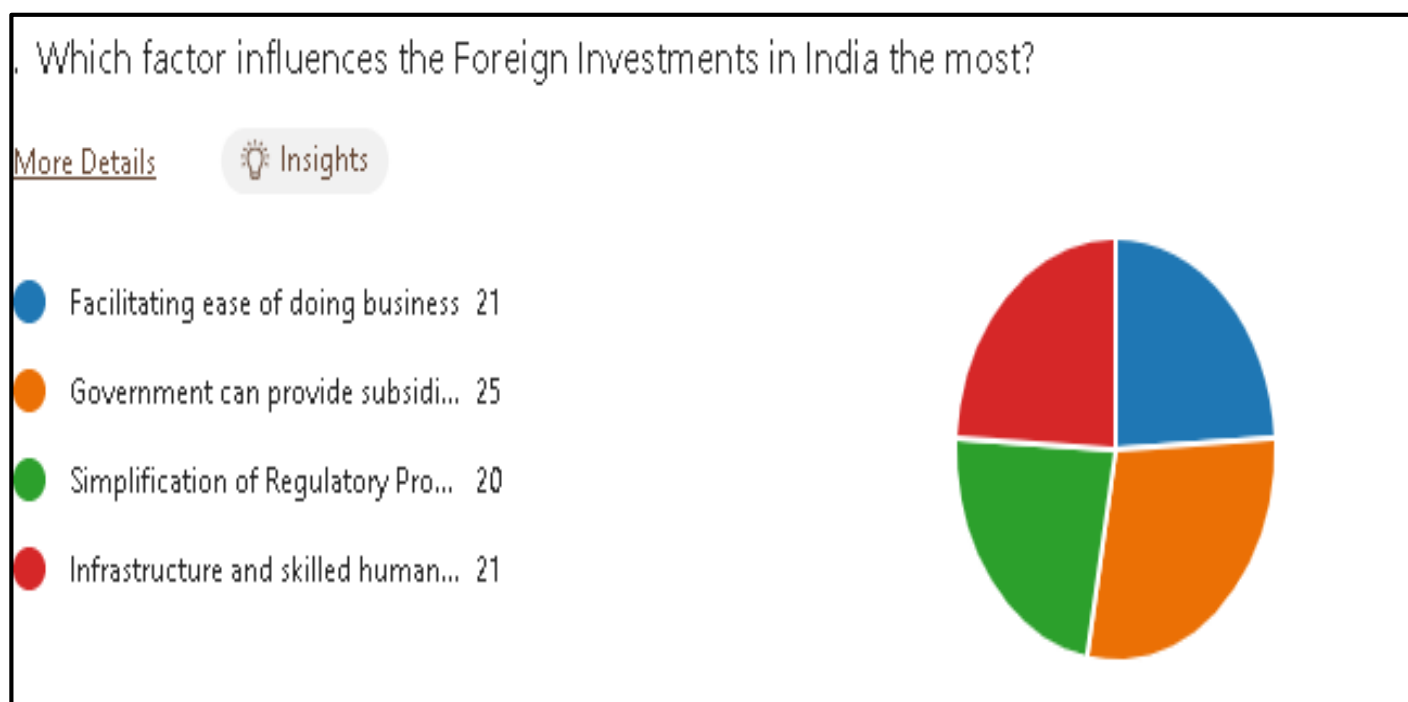
- Loss of Sovereignty 3
- Threat to domestic industries 25
- Dependency on foreign capital 15
- All of the above 44



ANALYSIS & INTERPRETATION-

The poll result shown in the image indicates that respondents consider multiple factors as significant risks of foreign investments. The option “All of the above” receiving the highest votes suggests that the participants view loss of sovereignty, threat to domestic industries, and dependency on foreign capital as equally important concerns.

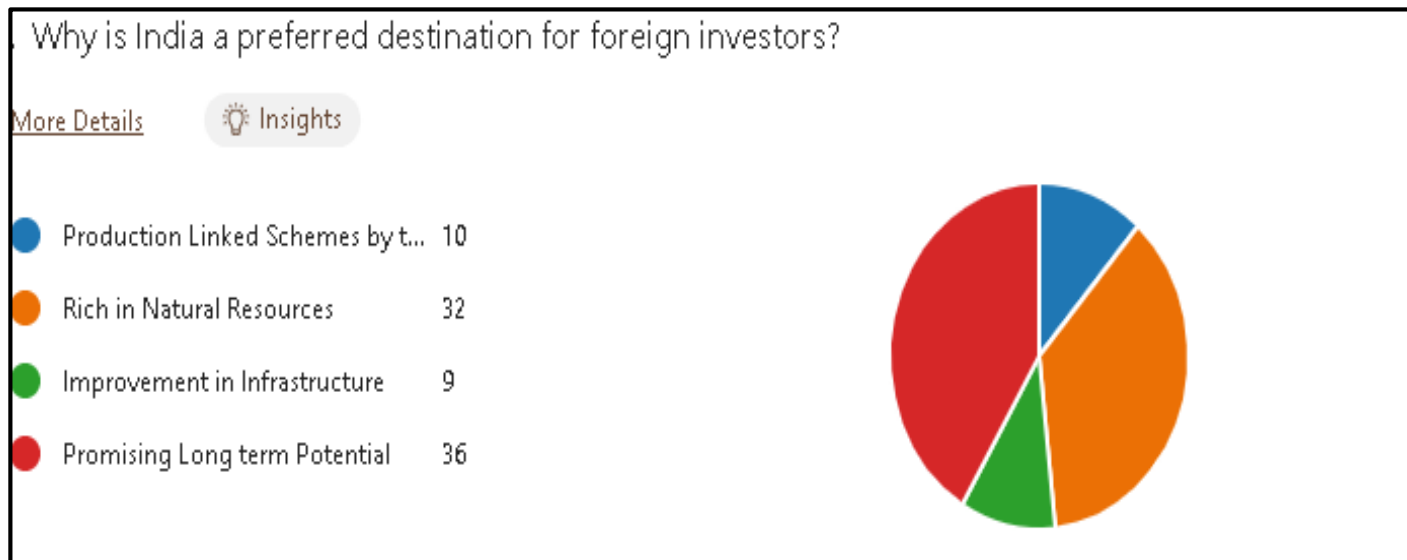
This collective concern reflects a cautious stance towards foreign investments, highlighting the need for balanced policies that protect national interests while attracting foreign capital. It underscores the complexity of managing foreign investments in a way that benefits the economy without compromising the country’s autonomy and the health of local industries.



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ANALYSIS & INTERPRETATION-

The pie chart and accompanying text suggest that India is a preferred destination for foreign investors due to its natural resources and long-term growth potential. The visual representation likely highlights various factors that attract foreign investment, such as a large and growing consumer market, a skilled workforce, and a supportive policy environment. The emphasis on natural resources and potential growth indicates that investors see India as a country with not only immediate benefits but also promising future prospects. This aligns with India's strategic initiatives to attract more foreign direct investment by showcasing its strengths and opportunities for sustainable economic development.

CHAPTER-03 REVIEW OF LITERATURE

1. A STUDY OF FDI AND INDIAN ECONOMY – MS. SAPNA HOODA

According to the research, developing countries has make their presence felt in the economies of the developed nations by receiving a decent amount of foreign investments. However, India is not the most preferred destination, but it is the 2nd fastest growing economy of the world. Post Liberalisation or National Economic Policy, 1991, India signed a number of bilateral and multilateral trade agreements with both the developing and developed nations.

2. SASIDHARAN SUBASH AND RAMANATHAN (2007)- FDI AND SPILL OVER: EVIDENCE FROM INDIAN MANUFACTURING-

Their research focuses on the impact of Foreign Direct Investment (FDI) on Indian manufacturing industries. The primary goal of their study is to empirically examine spill-over effects resulting from the entry of foreign firms into the Indian manufacturing sector. They analyse firm-level data from Indian manufacturing industries. The data covers the period 1994-2002.

TYPES OF SPILLOVER EFFECTS:

The researchers consider two types of spill-over effects related to FDI:

HORIZONTAL SPILLOVERS:

These occur when knowledge or technology spreads among firms operating in the same industry.

VERTICAL SPILLOVERS:

These occur when knowledge or technology transfers between foreign firms and local suppliers or buyers.

FINDINGS-

HORIZONTAL SPILLOVERS:

Surprisingly, the study does not find evidence of positive horizontal spill-over effects. In other words, the presence of foreign firms does not significantly impact local firms within the same industry.

VERTICAL SPILLOVERS:

However, the study reveals negative vertical spill-over effects. This suggests that the interaction between foreign firms and local suppliers or buyers may not always lead to positive knowledge transfer.

3. NIRUPAM BAJPAI AND JEFFREY D. SACHS' (2006) - "FOREIGN DIRECT INVESTMENT IN INDIA: ISSUES AND PROBLEMS."

In their study, they aimed to identify the challenges associated with India's current FDI policies and explore the reasons behind India's relatively low attractiveness as an investment destination. Despite India's substantial domestic market, legal framework, competitive labour costs, and democratic governance, its performance in attracting FDI has fallen short of expectations.

Here are the key points from their research:

1. CHALLENGES IN INDIA'S FDI ENVIRONMENT:

○ RESTRICTED FDI REGIME:

India's regulatory framework for foreign investment has limitations, hindering the ease of doing business.

○ HIGH IMPORT TARIFFS:

Tariffs on imported goods can discourage foreign investors.

○ EXIT BARRIERS:

Difficulties in exiting investments due to bureaucratic processes or legal complexities can deter FDI inflows.

○ STRINGENT LABOUR LAWS:

Labour regulations may be perceived as inflexible or burdensome by potential investors.

○ POOR INFRASTRUCTURE:

Inadequate infrastructure (such as transportation, power, and communication) affects operational efficiency.

○ CENTRALIZED DECISION MAKING:

A centralized decision-making process can lead to delays and uncertainty for investors.

○ LIMITED EXPORT PROCESSING ZONES:

The scale of export processing zones (EPZs) in India is insufficient to attract significant FDI.

2. UNATTRACTIVENESS AS AN INVESTMENT LOCATION: Despite India's positive attributes, the combination of the above factors has contributed to its unattractiveness for foreign investors.

4. FDI IN INDIA- EMERGING HORIZON- BY BASU P., NAYAK N.C., VANI ARCHANA (2007)-

The study explores the dynamics of FDI inflows into India, shedding light on various aspects:

1. OBJECTIVE AND CONTEXT:

- The researchers aim to analyse the qualitative shift in FDI inflows over the past fourteen years.
- India has implemented bold economic policies, and this study examines how these policies have influenced FDI trends.

2. COUNTRY AS AN ATTRACTIVE DESTINATION:

- The paper highlights that India is not only cost-effective for foreign investors but also beneficial for Research & Development activities.
- This dual appeal—affordability and innovation—makes India an attractive destination for FDI.

3. ROLE OF RESEARCH AND DEVELOPMENT (R&D):

- The study identifies R&D as a critical determinant of FDI inflows across various industries in India.
- When foreign firms invest, they consider the availability of skilled talent, research facilities, and innovation potential.
- The software industry, in particular, exhibits intensive R&D activity, which contributes to its attractiveness.

4. EXPORT PROMOTION AND NEW MARKETS:

- To maximize the benefits of R&D, the researchers suggest channelizing efforts toward export promotion.
- By leveraging R&D capabilities, Indian firms can penetrate new international markets.
- Imagine R&D as a powerful engine; export promotion directs its energy toward global expansion.

5. CORPORATE TAX IMPACT:

- The study uncovers a strong negative influence of corporate tax on FDI inflows.
- High corporate tax rates can deter foreign investors, affecting their profitability and overall investment decisions.

6. POLICY IMPLICATIONS:

- Policymakers should consider **tax reforms** to create a more favourable investment climate.
- Encouraging R&D-driven sectors and aligning policies with global market trends can enhance India's FDI attractiveness.

In summary, this research paper provides valuable insights for policymakers, investors, and industry leaders, emphasizing the interplay between R&D, taxation, and FDI inflows in India.

5. “ECONOMIC REFORMS, FDI AND ITS ECONOMIC EFFECTS ON INDIA’S ECONOMY”- BY CHANDAN CHAKRABORTY AND PETER NUNNENKAMP IN 2004,

1. BACKGROUND AND OBJECTIVE:

- The study aims to explore the impact of Foreign Direct Investment (FDI) on India’s economic growth.
- Specifically, it investigates how FDI affects different sectors of the Indian economy.

2. METHODOLOGY:

- The researchers employ a panel co-integration framework to analyse the relationship between FDI and economic output.
- They focus on industry-specific FDI and its implications for growth.
- Granger causality tests are used to understand the causal links between FDI and output.

3. FINDINGS:

- Sectoral Variation: The study reveals that the effects of FDI on growth vary significantly across different sectors:
 - Manufacturing Sector: FDI stocks and output in the manufacturing sector exhibit a mutually reinforcing relationship. In other words, FDI positively impacts manufacturing output.
 - Primary Sector: Interestingly, there is no significant causal relationship between FDI and output in the primary sector (which includes agriculture, mining, etc.). FDI does not seem to drive growth in this sector.
 - Service Sector: The service sector, despite attracting a substantial share of FDI during the post-reform era, shows only transitory effects of FDI on output. These effects are not sustained over the long term.

4. IMPLICATIONS:

- The study’s findings suggest that simply relaxing regulations and opening up more industries to FDI may not lead to miraculous economic growth in India.
- Policymakers need to consider the specific characteristics of each sector when formulating FDI policies.
- FDI’s impact is context-dependent, and a one-size-fits-all approach may not be effective.

In summary, while FDI can play a crucial role in economic development, its effects are nuanced and sector-specific. Policymakers must tailor their strategies to harness FDI’s potential effectively.

6. “DOES INDIA NEED A LOT MORE FDI” – BY BALASUBRAMANYAM AND SAPSFORD-

1. STRUCTURAL DIFFERENCES-

India's manufacturing and service sector, along with its human capital endowments differ significantly from those of China. The managerial and organizational requirements in Indian industries are generally lower than labour intensive Chinese Industries.

2. HUMAN CAPITAL-

India boasts a substantial pool of well- trained engineers and scientists. These professionals can adapt effectively and restructure the imported knowledge to suit the local market conditions. Consequently, technology and know-how from foreign firms spill over the local companies.

3. OPTIMUM FDI LEVEL-

Unlike other developing countries, including China, India's optimal FDI level for generating substantial spill-overs and enhance productivity growth is likely to be much lower. The country need not attract as much FDI as it currently does to achieve growth rates exceeding 10% annually.

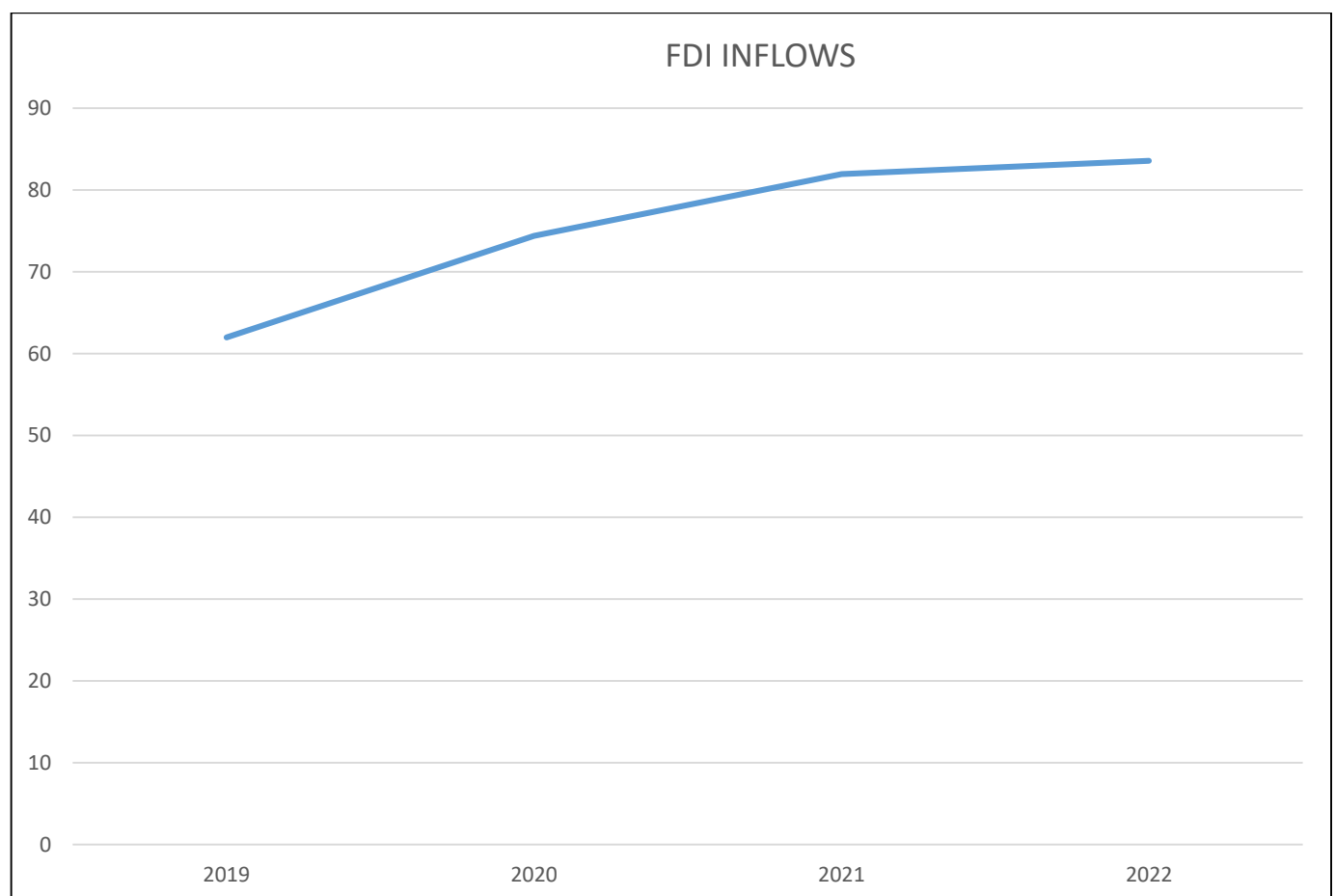
4. DIVERSIFICATION-

Balasubramanyam and Sapsford conclude that India is positioned to diversify its sources of capital beyond FDI. The country can effectively unbundle the FDI package and explore alternative avenues for meeting capital requirements.

CHAPTER 04- DATA PRESENTATION, ANALYSIS AND INTERPRETATION

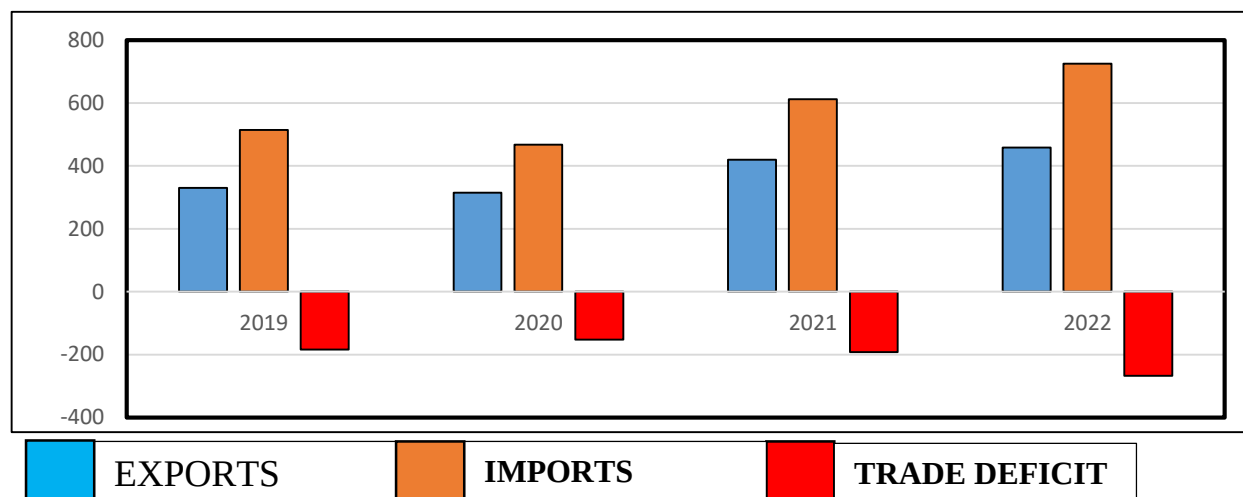
FOREIGN DIRECT INVESTMENT INFLOWS INTO INDIA

YEAR	FDI INFLOWS (In US\$ Billion)
2019	62
2020	74.39
2021	81.97
2022	83.57



IMPORTS AND EXPORTS AND TRADE DEFICIT (Comparison)

YEAR	EXPORTS (US \$ Billion)	IMPORTS (US \$ Billion)	TRADE DEFICIT (US \$ Billion)
2019	330.07	514.07	-184
2020	314.31	467.19	-152.88
2021	420	612	-192
2022	458.3	725.4	-267.1



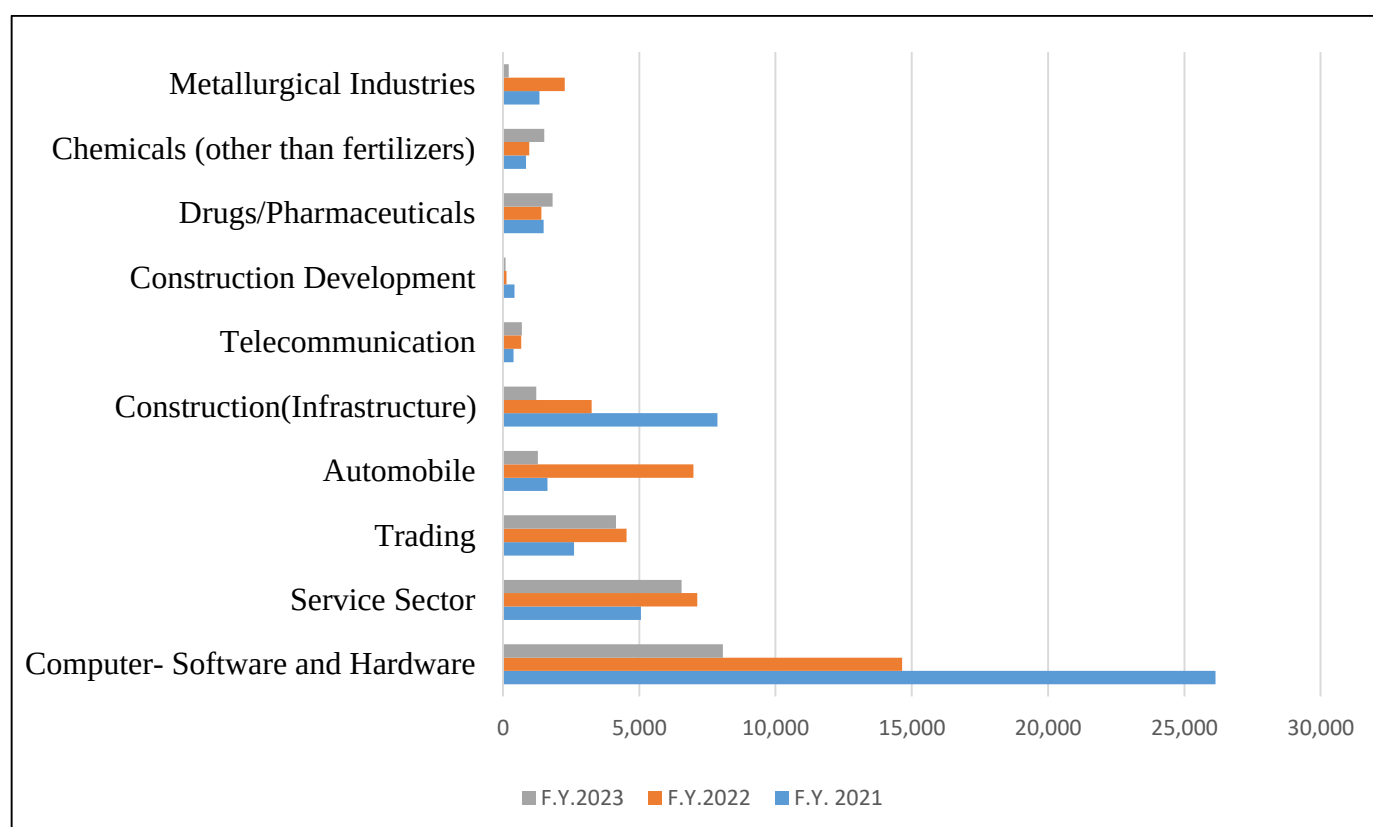
This table shows the trade statistics of India from 2019 to 2022. Trade deficit is the cost of country's imports exceeds its imports. Trade deficit indicates that Indian economy is spending on buying more foreign goods rather than selling its commodities to foreign economies.

Analysis and Interpretation

- ✓ India has been recording sustained trade deficit many due to strong imports growth of mineral fuels, oils and bituminous substances, jewellery etc.
- ✓ India's trade deficit widened from -184 billion USD in 2019 to -267.1 billion USD in 2022, an increase of 45.2%. This suggests that India's demand for foreign goods and services has outpaced its supply of domestic goods and services to the world market.
- ✓ India's exports declined by 4.8% from 2019 to 2020, but rebounded by 33.6% from 2020 to 2021, and grew by 9.1% from 2021 to 2022. This could be attributed to the impact of the COVID-19 pandemic and the subsequent recovery of the global economy and trade.
- ✓ India's imports decreased by 9.1% from 2019 to 2020, but increased by 31% from 2020 to 2021, and by 18.5% from 2021 to 2022. This could reflect the rising domestic consumption and investment in India, as well as the higher prices of imported commodities such as oil and gold.
- ✓ India's trade deficit as a percentage of its GDP rose from 6.2% in 2019 to 9.1% in 2022, indicating that its trade imbalance has become more severe relative to its economic size. A high trade deficit can have negative effects on the country's currency, foreign exchange reserves, inflation, and debt.

SECTORAL CONTRIBUTION OF FDI INFLOWS YEARWISE

SECTORS	F.Y. 2021	F.Y.2022	F.Y.2023
Computer- Software and Hardware	26,145	14,641	8068
Service Sector	5060	7131	6559
Trading	2608	4538	4145
Automobile	1637	6994	1275
Construction(Infrastructure)	7875	3248	1221
Telecommunication	392	668	696
Construction Development	422	125	96
Drugs/Pharmaceuticals	1490	1414	1818
Chemicals (other than fertilizers)	847	966	1515
Metallurgical Industries	1340	2272	206



ANALYSIS AND INTERPRETATION OF THE ABOVE DATA-

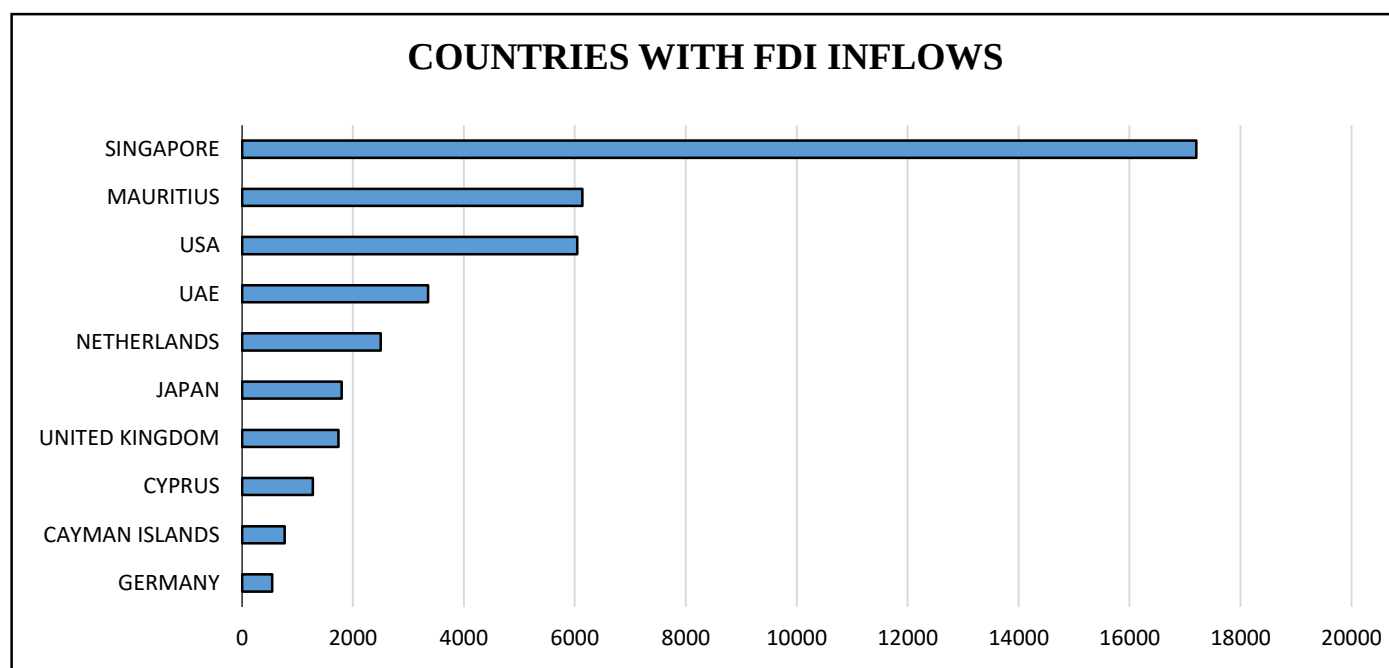
1) Computer Software and Hardware sector had the highest FDI inflows in all the three fiscal years but also showed a decline of about 69% from 2021 to 2023.

2) The Service Sector had the second highest FDI inflows in all the three fiscal years and showed an increase of 41% from 2021 to 2022 but showed a decline from 2022 to 2023 by 8%.

- 3) The Automobile sector had the most volatile revenue, with a 327% increase from 2021 to 2022, followed by a 82% decrease from 2022 to 2023. This could be due to the impact of the global pandemic and the lockdown measures on the demand and supply of vehicles.
- 4)The Construction (Infrastructure) Sector saw a significant decline of about 59% from 2021 to 2022 and 62% decline from 2022 to 2023.
- 5) Telecommunication sector is one of the sectors where growth has been very stable. Revenues increased slightly from ₹392 million in F.Y. 2021 to ₹668 million in F.Y. 2022 and maintained a similar level at ₹696 million in F.Y. 2023.
- 6) Drugs and Pharmaceuticals have shown resilience during the three fiscal years- 2021, 2022 and 2023. Revenues remained relatively stable with minor fluctuations.
- 7)Metallurgical Industry was the industry which dropped by 91% from the year 2021 to 2022. Largest drop as compared to the other contributory sectors.

TOP COUNTRIES INVESTING IN FOREIGN DIRECT INVESTMENT EQUITY IN INDIA (F.Y.2023)

SR.NO.	COUNTRIES	FDI EQUITY
1	Singapore	17203
2	Mauritius	6134
3	USA	6044
4	UAE	3353
5	Netherlands	2498
6	Japan	1798
7	United Kingdom	1738
8	Cyprus	1277
9	Cayman Islands	772
10	Germany	547



ANALYSIS OF TOP INVESTOR COUNTRIES IN INDIA IN FY 2023

1)Singapore-

As a top contributor, Singapore's FDI Equity Flows of US \$17,203 million Dollars reflects its strong economic ties with India. Singapore is known for its strategic investments and business friendly environment, making it an attractive destination for Indian companies and investors.

2) Mauritius-

Despite its small size, Mauritius plays a significant role in India's FDI landscape. With an inflow of 6134 million US\$. Mauritius has historically been a conduit for foreign investments into India due to favourable tax treaties.

3) U.S.A-

The United States, a global economic powerhouse contributes 6044 million US\$ in FDI equity, American companies invest in various sectors, including technology, finance and manufacturing.

4) UAE-

The United Arab Emirates, particularly Dubai and Abu Dhabi, invests 3353 million US\$ in India. The UAE's interest lies in the real estate, infrastructure and energy projects.

5) Netherlands-

With a FDI inflows of 2498 million US\$, the Netherlands is a key European investor in India. Dutch companies participate in sectors like agriculture, logistics and technology.

6) Japan-

Japan's investment of 1798 million US\$ reflects its interest in India's infrastructure development, manufacturing and automation sectors. Japanese companies collaborate with the Indian competitors or counterparts to enhance technological capabilities.

7) United Kingdom-

Despite certain uncertainty in UK, it invested around 1738 million US\$ in India. British companies have historical ties with India and invest in sectors like finance, healthcare and education.

8) Cyprus-

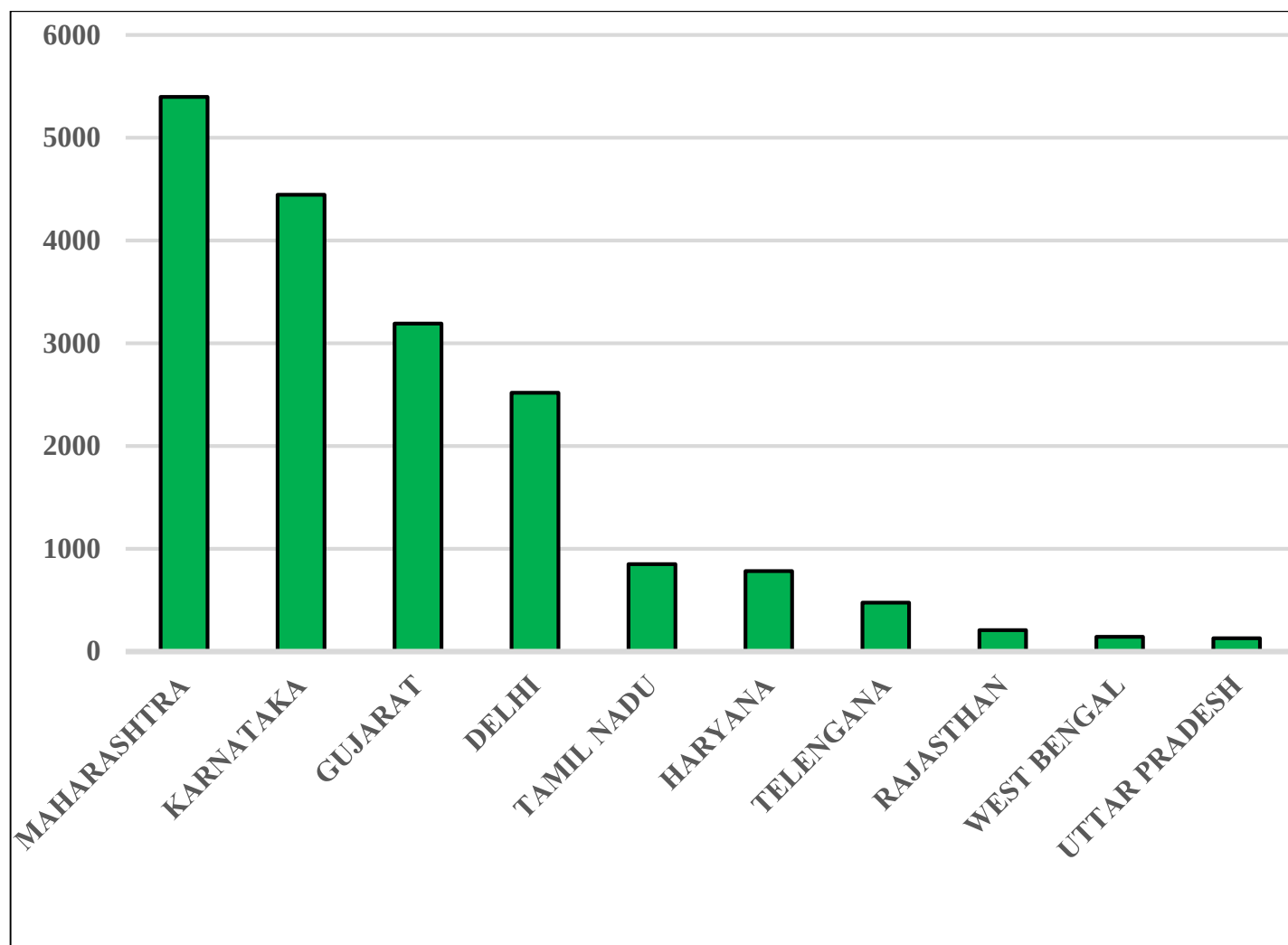
Cyprus with an inflow of 1277 million US\$ is often used as an intermediary for FDI due to its favourable tax regime. Indian companies also invest in Cyprus for outbound investments.

9) Cayman Islands-

Cayman Islands is a well-known offshore financial centre contributed around 772 million dollars. It is often used for structuring investments and managing funds.

LEADING INDIAN STATES ATTRACTING FDI in FY 2023

SR NO.	STATES	INFLOWS OF FDI (US\$ millions)
1.	MAHARASHTRA	5397
2.	KARNATAKA	4445
3.	GUJARAT	3190
4.	DELHI	2519
5.	TAMIL NADU	850
6.	HARYANA	782
7.	TELENGANA	474
8.	RAJASTHAN	207
9.	WEST BENGAL	142
10.	UTTAR PRADESH	130

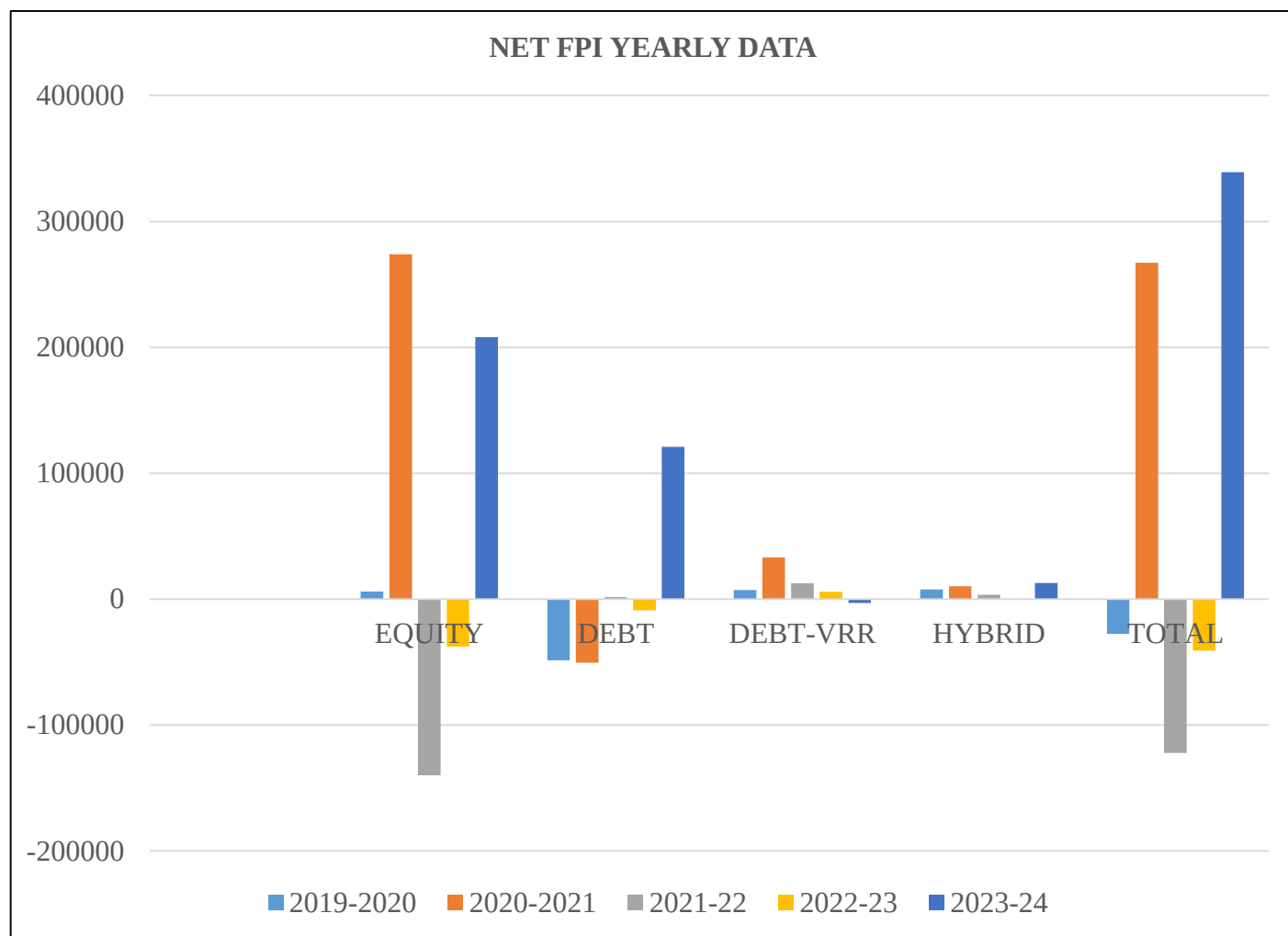


ANALYSIS & INTERPRETATION-

Maharashtra, Karnataka, Gujarat, Delhi and Tamil Nadu are the top five states in India as Foreign Direct Investment Inflows. This is due to infrastructure facilities and advancement in technology and digital worthiness in these states as compared to others. The top five states constitute up to 66% of the total Foreign Direct Investment Inflows in India.

FOREIGN PORTFOLIO INVESTMENT (NET FPI YEARLY DATA)

FINANCIAL YEAR	EQUITY	DEBT	DEBT-VRR	HYBRID	TOTAL
2019-2020	6153	-48710	7331	7698	-27528
2020-2021	274032	-50443	33265	10247	267101
2021-22	-140010	1628	12642	3498	-122242
2022-23	-37632	-8937	5814	-181	-40936
2023-24 (upto 28 th March,2024)	208212	121059	-2972	12767	339066



FOREIGN PORTFOLIO INVESTMENTS AS ON 26TH MARCH, 2024 (IN INR)

INVESTMENT	GROSS PURCHASES	GROSS SALES	NET INVESTMENT
Equity	16,805.40	20,676.83	(3871.43)
Debt	530.70	4075.41	(3544.71)
Debt –VRR	514.21	488.17	26.04
Hybrid	13.13	6.97	6.16
Total	17,863.44	25,247.38	(7,383.94)

ANALYSIS AND INTERPRETATION-

1.EQUITY INVESTMENTS-

Net investments is Rs. 3,871.43 crores (negative value indicates net sales). Foreign portfolio investments are negative net which suggests that they have sold more equities than they have purchased. Possible reasons could include profit- taking, global market volatility or specific sectoral trends.

2. DEBT-INVESTMENTS-

Similar to equities, FPI have also been net sellers in the debt market. The negative net investment implies that they have reduced their exposure to Indian debt instruments. Factors such as interest rate changes, credit risk or global economic conditions may influence this trend.

3. DEBT-VRR INVESTMENTS-

FPI have made modest net purchase in the debt-VRR segment. This category allows them to invest in Indian debt with more flexibility, potentially attracting some interest.

CHAPTER-05 SUGGESTIONS, PROJECTIONS AND CONCLUSION-

SUGGESTIONS AND STRATEGIES THAT GOVERNMENT CAN FOLLOW TO BRING HIGHER FDI AND FPI IN INDIA

1)ENHANCING THE EASE OF DOING THE BUSINESS-

Streamlining regulatory processes, simplifying tax structures, and improving the overall business environment can make India more attractive to foreign investors.

2)DEVELOPING INFRASTRUCTURE-

Investing in modern infrastructure such as transportation, power and communication system can significantly boost investor confidence by reducing the cost of operations and improving market accessibility.

3) LIBERALIZING FDI POLICIES-

Relaxing restrictions on FDI on various sectors such as retail, defence and insurance can lead to increased capital inflows and technological advancements.

4)STRENGTHENING FINANCIAL MARKETS-

Enhancing the regulatory framework to ensure a stable and transparent investment climate that can boost the investor confidence.

5) PROMOTING INNOVATION AND TECHNOLOGY-

Encouraging investments in research and development, start-ups and technology-driven industries through initiatives like the Start-up India Programme which offers incentives and tax benefits.

6)TAX INCENTIVES-

Offering competitive tax rates and incentives to attract foreign investors. This could involve reducing corporate tax rates for specific sectors or for investments in Special Economic Zones.

7)FINANCIAL SECTOR REFORMS-

Easing liquidity problems of NBFCs and Banks which can facilitate better credit flow and investment opportunities for foreign investors.

8)ENHANCING SKILL DEVELOPMENT-

Investing in education and vocational training to create a skilled workforce that can meet the demands of foreign investors.

9) EXPANDING BILATERAL TRADE AGREEMENTS-

Negotiating more bilateral trade agreements to give Indian exports wider access to international markets, thereby attracting reciprocal investments.

10)PROMOTING SECTOR SPECIFIC STRATEGIES-

Identifying and promoting sectors with high growth potential such as renewable energy, vehicles and biotechnology to attract targeted FDI.

11)ENHANCING INVESTOR RELATIONS-

Establishing dedicated departments to assist the foreign investors with information and networking opportunities.

12) PROMOTING BRAND INDIA-

Launching global campaigns to showcase India's strengths and potential as an investment destination.

13)IMPROVING CORPORATE GOVERNANCE-

Ensuring transparency and accountability in the business practices to enhance India's image as a responsible investment destination.

14)STREAMLINE THE GOVERNMENT APPROVAL PROCESS-

Implementing a single window clearance system for faster and more efficient processing of investment proposals.

15)LEVERAGE THE DIGITAL INDIA CAMPAIGN-

Capitalize the Digital India Initiative to attract FDI in the digital economy including e-commerce, fintech and IT services.

16) RESEARCH AND DEVELOPMENT COLLABORATION-

Encouraging joint research and development projects between India and foreign companies to foster innovation and technology transfer.

17) PROMOTING SECTOR SPECIFIC STRATEGY-

Identifying and promoting sectors with high growth potential such as renewable energy, electric vehicles and biotechnology to attract targeted FDI.

18) ENSURING POLICY CONSISTENCY-

Maintaining consistency in economic policies to reduce uncertainty and risk for foreign investors in FDI and FPI.



1. CONTEXT:

- The article discusses a proposal put forth by India at the World Trade Organization (WTO).
- The proposal aims to address a specific issue related to cross-border payments.

2. OBJECTIVE OF THE PROPOSAL:

- India's proposal seeks to lower the cost associated with cross-border transactions.
- Cross-border payments involve transferring money between different countries, whether for trade, remittances, or other purposes.
- By reducing costs, the proposal aims to promote financial inclusion, sustainable development, and global economic equity.

3. CHALLENGES WITH CROSS-BORDER PAYMENTS:

- Currently, cross-border transactions often incur high fees due to intermediary banks, currency conversion, and administrative processes.
- These fees disproportionately affect small businesses, migrant workers, and individuals sending remittances to their families.

4. KEY POINTS FROM THE ARTICLE:

- **WTO Platform:** The proposal is being discussed within the framework of the WTO, which plays a crucial role in shaping global trade rules.
- **Equitable Access:** By advocating for lower transaction costs, India emphasizes the importance of equitable access to financial services for all nations.

- Global Impact: If successful, this initiative could have a positive impact worldwide, especially for developing countries.
- **SUSTAINABLE DEVELOPMENT GOALS (SDGS):** The proposal aligns with SDG 10 (Reduced Inequalities) and SDG 17 (Partnerships for the Goals).

5. POTENTIAL BENEFITS:

- **Affordability**: Lower transaction costs would make cross-border payments more affordable for individuals and businesses.
- **Economic Growth**: Facilitating seamless cross-border transactions can boost trade, investment, and economic growth.
- **Financial Inclusion**: It contributes to the goal of financial inclusion, ensuring that everyone has access to financial services.

6. CHALLENGES AHEAD:

- Achieving consensus within the WTO requires negotiations among member countries.
- Balancing the interests of developed and developing nations is crucial.

CONCLUSION-

India's FDI and FPI landscape continue to evolve. While challenges persist, proactive policy measures, sector specific opportunities and investor confidence contributes to India's position as an investment hub. Monitoring regulatory changes and address the challenges will be crucial for sustained growth in foreign investments.

FDI inflows in India have faced many challenges due to global economic uncertainties, geopolitical tension and impact of COVID-19 pandemic. Despite these challenges, India remains an attractive destination for foreign investors especially in sectors like technology, e-commerce and renewable energy.

The Indian government has implemented several reforms to enhance ease of doing business. These include single window clearances, simplified tax structures and relaxed FDI norms.

Regulatory clarity, bureaucratic hurdles remain the challenges for FDI growth.

FPI inflows in India are influenced by the global market conditions, interest rates and investor sentiment. India's stock market has witnessed robust FPI participation, driven by liquidity, attractive valuation and positive economic indicators. FPI includes both equity and debt investments. While equity investments dominate, debt investments also play a significant role. RBI monitors FPI limits and ensure stability.

The government eased the FPI norms, simplified registration process and reduced compliance requirements. The FPI limit in the Debt-VRR (Corporate Bonds) are increased to attract more foreign capital. Currency fluctuations, global economic shocks and geopolitical tension can impact FPI flows. Investors monitor India's fiscal and monetary policies.

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